

DAAR COMMUNICATIONS PLC
Company No. RC 117587

**ANNUAL REPORTS AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER, 2025**

DAAR COMMUNICATIONS PLC

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DAAR COMMUNICATIONS PLC

CORPORATE INFORMATION

Directors:	Chief Raymond Paul Dokpesi Jnr. Chief Dr Marcellinus Anyalechi, FCA Alhaji Gambo Lawan Professor Ralph A. Akinfeleye Mr. Emeka Mba Hon. Magnus Onyibe Femi Ademola, PhD, CFA Chief Stanley Sagboje, FCA	<i>Chairman of the Board</i> MD/CEO <i>Non-Executive</i> <i>Non-Executive</i> <i>Non-Executive</i> <i>Non-Executive</i> <i>Executive</i>
Company Secretary	Mr. Miji Jonah resigned as the Company secretary on 28 March, 2025 and the Structure HQ was appointed on the same day	
Registration No:	RC. 117587	
FRC No:	FRC 2013/00000001551	
Registered Office:	Ladi Lawal Drive Kpaduma Hills, Off T. Y. Danjuma Street, Asokoro, FCT Abuja.	
Independent Auditor:	Baker Tilly Nigeria (Chartered Accountants), No 7 Gwandu close, Off Jibia Street, Off Badagry Street, Area 2, Garki, Abuja; FCT	
Registrars:	First Registrars and Investors Services Ltd. No. 2 Abebe Village Road Iganmu, Lagos.	
Bankers:	Fidelity Bank Plc First Bank Nigeria Plc First City Monument Bank Ltd Sterling Bank Plc Guaranty Trust Bank Plc. Union Bank of Nigeria Plc United Bank for Africa Plc The Alternative Bank Zenith Bank Plc	

DAAR COMMUNICATIONS PLC

FINANCIAL HIGHLIGHT

	2025	2024	Absolute Change	Change
	₦'000	₦'000	₦'000	%
Revenue	5,433,309	5,250,947	182,362	3
Loss before taxation	(751,998)	(2,313,920)	1,561,922	68
Loss after taxation	(874,657)	(2,341,715)	1,467,058	63
Non-current assets	23,817,445	24,363,316	(545,871)	(2)
Current assets	3,314,489	3,129,248	185,241	6
Non-current liabilities	1,102,168	726,160	376,008	52
Current liabilities	9,224,347	10,582,857	(1,358,510)	(13)
Issued share capital	4,000,000	4,000,000	-	0
Share premium	13,411,541	13,411,541	-	0
Shareholders' fund	16,805,418	16,183,547	621,871	4
Total equity and liabilities	<u>27,131,934</u>	<u>27,492,564</u>	<u>(360,630)</u>	<u>(1)</u>
Loss per share (kobo)	<u>(11)</u>	<u>(20)</u>	<u>9</u>	<u>(100)</u>

DAAR COMMUNICATIONS PLC

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Directors of DAAR Communications Plc are responsible for the preparation of the financial statements that present fairly the financial position of the Company as at 31 December 2025, and the results of its operations, cash flows and changes in equity for the year ended, in compliance with International Financial Reporting Standards (IFRS).

In preparing the financial statements, the Directors are responsible for:

- Properly selecting and applying accounting policies,
- presenting information, including accounting policies, in a manner that provides relevant, reliable, comparable, and understandable information,
- providing additional disclosures when compliance with the specific requirements in IFRSs is insufficient, to enable users to understand the impact of particular transactions, and conditions on the Company's financial position and financial performance, and
- making an assessment of the Company's ability to continue as a going concern.

The Directors are responsible for:

- Designing, implementing, and maintaining an effective and sound system of internal controls throughout the Company,
- Maintaining adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company, and which enable them to ensure that the financial statements of the Company comply with IFRS,
- Maintaining statutory accounting records in compliance with the legislation of Nigeria and IFRS,
- Taking such steps as are reasonably available to them to safeguard the assets of the Company, and prevent and detect fraud and other irregularities.

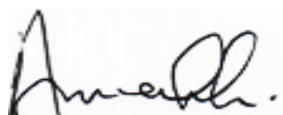
The Directors accept responsibility for the preparation of the annual financial statements which has been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates in conformity with International Financial Reporting Standards and the manner required by the Companies and Allied Matters Act (CAMA), 2020 and the Financial Reporting Council of Nigeria Act 2011.

Nothing has come to the attention of the directors to indicate that the Company will not remain a going concern for at least twelve months from the date of this statement.

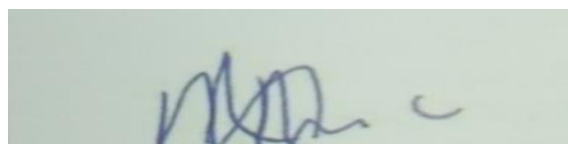
The directors are of the opinion that the financial statements give a true and fair view of the financial position of the Company and of the loss for the year.

The financial statements of the Company for the year ended 31st December 2025 were approved by Management on ... March, 2026.

Signed on behalf of the Directors



Chief Dr Marcellinus Anyalechi
MD/CEO
FRC/2015/ICAN/00000013647



Chief Stanley Sagboje, FCA
Executive Director, Finance & Accounts/CFO
FRC/2016/ICAN/00000015580

DAAR COMMUNICATIONS PLC REPORT OF AUDIT COMMITTEE

Report of the Audit Committee to the members of DAAR Communications Plc for the year ended 31 December 2025

In compliance with the provisions of Section 404 (7) of the Companies and Allied Matters Act, 2020, the members of the Audit Committee of DAAR Communications Plc have considered the audited Financial Statements for the year ended 31 December 2025 together with the Management Report from the External Auditors and Management response thereon.

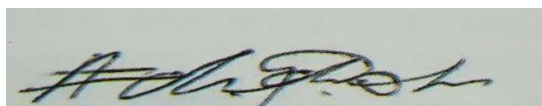
In our opinion, the scope and planning of the audit for the year ended on 31 December 2025 was adequate.

After due consideration, the Audit Committee accepted the Report of the External Auditors that the Financial Statements were prepared in accordance with the International Financial Reporting Standards and agreed ethical practices and give a true and fair view of the state of affairs of the Company.

The Committee reviewed Management's Response to the Auditor's findings in respect of Management matters and is satisfied with Management's response thereto.

The Committee also considered and recommends to the Board provision made in the Financial Statements with respect to the remuneration of the Auditors.

The Committee, therefore, recommends that the audited Financial Statements of the Company for the year ended 31 December, 2025, and the Auditors' report thereon be presented for adoption at the Annual General Meeting.



Mr. John Adidi, FCA
FRC/2013/PRO/ICAN/004/00000000742
Chairman, Audit Committee -

30 March, 2026

Members of the Audit Committee are:

Mr. John Adidi, FCA	Chairman - Shareholder's Representative
High Chief Vincent Barrah	Member- Shareholder's Representative
Mr. Ayanwamide Yinka	Member - Representative
Femi Ademola, PhD, CFA	Member Board's Representative
Magnus Onyibe	Member Board's Representative

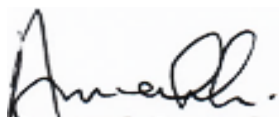
DAAR COMMUNICATIONS PLC
Certification Pursuant to Section 405 of CAMA 2020

We, the undersigned hereby certify the following with regards to our Audited Financial Statements for the period ended 31 December 2025 that:

We have reviewed the report:

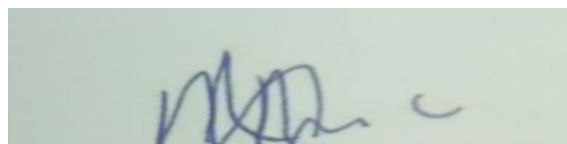
- (a) to the best of our knowledge, the report does not contain:
 - i. Any untrue statement of a material fact, or
 - ii. Omit to state a material fact, which would make the statements misleading in the light of circumstances under which such statements were made;
- (b) to the best of our knowledge, the financial statement and other financial information included in this report fairly present in all material respects the financial condition and results of operation of the company as of, and for the periods presented in this report.
- (c) We:
 - are responsible for establishing and maintaining internal controls.
 - have designed such internal controls to ensure that material information relating to the Company is made known to such officers by others within the entity, particularly during the period in which the periodic reports are being prepared;
 - have evaluated the effectiveness of the Company's internal controls as of date within 90 days prior to the report;
 - have presented in the report our conclusions about the effectiveness of our internal controls based on our evaluation as of that date;
- (d) We have disclosed to the auditors of the Company:
 - i. All significant deficiencies in the design or operation of internal controls which would adversely affect the company's ability to record, process, summarize and report financial data and have identified for the company's auditors any material weakness in internal controls, and
 - ii. Any fraud, whether or not material, that involves management or other employees who have a significant role in the company's internal controls;

We have identified in the report whether or not there were significant changes in internal controls or other factors that could significantly affect internal controls subsequent to the date of our evaluation, including any corrective actions with regard to significant deficiencies and material weaknesses.



.....
Chief Dr Marcellinus Anyalechi
MD/CEO
FRC/2015/PRO/ICAN/00000013647

30 March, 2026



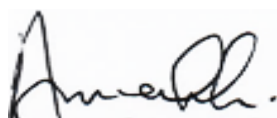
.....
Chief Stanley Sagboje, FCA
Executive Director, Finance & Accounts/CFO
FRC/2016/PRO/ICAN/00000015580

30 March, 2026

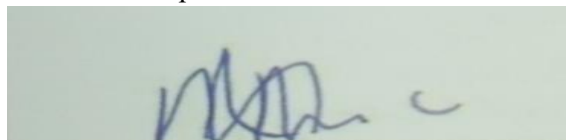
MANAGEMENT'S ANNUAL ASSESSMENT OF, AND REPORT ON DAAR COMMUNICATIONS'S PLC'S INTERNAL CONTROL OVER FINANCIAL REPORTING FOR THE YEAR ENDED 31 DECEMBER 2025.

To comply with the provisions of Section 1.3 of SEC Guidance of implementation of Sections 60-63 of investments and Securities Act 2007, we hereby make the following statements regarding the Internal Controls of DAAR Communications Plc for the year ended 31 December 2025.

- i. DAAR Communications Plc's management is responsible for establishing and maintaining a system of internal control over financial reporting ("ICFR") that provides reasonable assurance and regarding the reliability of financial reporting and the preparation of financial statements for the external purposes in accordance with International Financial Reporting Standards.
- ii. DAAR Communication Plc's management used the Committee of Sponsoring Organization of the Treadway Commission (COSO) Internal Control-Integrated Framework to conduct the required evaluation of the effectiveness of the entity's ICFR,
- iii. DAAR Communication Plc's management has assessed that the entity's ICFR as of the end of 31 December, 2025 is effective.
- iv. DAAR Communication Plc's external auditor Messrs Baker Tilly Nigeria that audited the financial statements, included in the annual report, has issued an attestation report on the management's assessment of the entity's internal control over financial reporting. The attestation report of Messrs Baker Tilly Nigeria that audited its financial statements will be filed as part of DAAR communication Plc's annual report



Chief Dr Marcellinus Anyalechi, FCA
MD/CEO
FRC/2015/PRO/ICAN/00000013647
30 March, 2026



Stanley Sagboje, FCA
Executive Director, Finance & Accounts/CFO
FRC/2016/PRO/ICAN/00000015580
30 March, 2026

**CERTIFICATION OF MANAGEMENT'S ASSESSMENT ON INTERNAL CONTROL OVER
FINANCIAL REPORTING FOR THE YEAR ENDED 31 DECEMBER 2025**

To comply with the provisions of Section 1.3 of SEC Guidance of implementation of Sections 60-63 of investments and Securities Act 2007 we hereby make the following statements regarding the Internal Controls of DAAR Communications Plc for the year ended 31 December 2025.

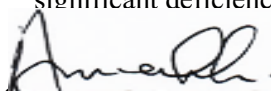
I Chief Dr Marcellinus Anyalechi, certify that:

- a) I have reviewed this management assessment on Internal Control over financial reporting of DAAR Communications Plc.
- (b) Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
- (c) Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the company as of, and for, the periods presented in this report;
- (d) The company's other certifying officer(s) and I:
 - i. are responsible for establishing and maintaining internal controls;
 - ii. have designed such internal controls and procedures, or caused such internal controls and procedures to be designed under our supervision, to ensure that material information relating to the company, and its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - iii. have designed such internal control system, or caused such internal control system to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
 - iv. have evaluated the effectiveness of the company's internal controls and procedures as of a date within 90 days prior to the report and presented in this report our conclusions about the effectiveness of the internal controls and procedures, as of the end of the period covered by this report based on such evaluation.
- (e) The company's other certifying officer(s) and I have disclosed, based on our most recent evaluation of internal control system, to the company's auditors and the audit committee of the company's board of directors (or persons performing the equivalent functions):

There were no significant deficiencies and material weaknesses in the design or operation of the internal control system which are reasonably likely to adversely affect the company's ability to record, process, summarize and report financial information; and

There was no fraud, whether or not material, that involves management or other employees who have a significant role in the company's internal control system.

The company's other certifying officer(s) and I have identified, in the report whether or not there were significant changes in internal controls or other facts that could significantly affect internal controls subsequent to the date of their evaluation including any corrective actions with regard to significant deficiencies and material weaknesses.


Chief Dr Marcellinus Anyalechi
MD/CEO
FRC/2015/PRO/ICAN/00000013647
30 March, 2026

CERTIFICATION OF MANAGEMENT'S ASSESSMENT ON INTERNAL CONTROL OVER FINANCIAL REPORTING FOR THE YEAR ENDED 31 DECEMBER 2025

To comply with the provisions of Section 1.3 of SEC Guidance of implementation of Sections 60-63 of investments and Securities Act 2007 we hereby make the following statements regarding the Internal Controls of DAAR Communications Plc for the year ended 31 December 2025.

I Chief Stanley Sagboje, certify that:

- a) I have reviewed this management assessment on Internal Control over financial reporting of DAAR Communications Plc.
- (b) Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
- (c) Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the company as of, and for, the periods presented in this report;
- (d) The company's other certifying officer(s) and I:
 - i. are responsible for establishing and maintaining internal controls;
 - ii. have designed such internal controls and procedures, or caused such internal controls and procedures to be designed under our supervision, to ensure that material information relating to the company, and its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - iii. have designed such internal control system, or caused such internal control system to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
 - iv. have evaluated the effectiveness of the company's internal controls and procedures as of a date within 90 days prior to the report and presented in this report our conclusions about the effectiveness of the internal controls and procedures, as of the end of the period covered by this report based on such evaluation.
- (e) The company's other certifying officer(s) and I have disclosed, based on our most recent evaluation of internal control system, to the company's auditors and the audit committee of the company's board of directors (or persons performing the equivalent functions):

There were no significant deficiencies and material weaknesses in the design or operation of the internal control system which are reasonably likely to adversely affect the company's ability to record, process, summarize and report financial information; and

There was no fraud, whether or not material, that involves management or other employees who have a significant role in the company's internal control system.

The company's other certifying officer(s) and I have identified, in the report whether or not there were significant changes in internal controls or other facts that could significantly affect internal controls subsequent to the date of their evaluation including any corrective actions with regard to significant deficiencies and material weaknesses.



Chief Stanley Sagboje, FCA
Executive Director, Finance & Accounts/CFO
FRC/2016/PRO/ICAN/00000015580
30 March, 2026



BAKER TILLY NIGERIA
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Maryland,
Lagos.
Tel: +234 (0)903-161-3983 and 08023378194
E-mail: btnlag@bakertillynigeria.com
Website: www.bakertilly.ng

REPORT OF THE INDEPENDENT AUDITOR'S TO THE MEMBERS OF DAAR COMMUNICATIONS PLC

Opinion

We have audited the accompanying financial statements of DAAR COMMUNICATIONS PLC (the Company) which comprise the statement of financial position as at 31 December 2025, and the statement of profit or loss and other comprehensive income, the statement of changes in equity, and the statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory notes.

In our opinion, the Company has kept proper accounting records and the financial statements are in agreement with the records in all material respects and give in the prescribed manner, information required by the Companies and Allied Matters Act (CAMA), 2020. The financial statements give a true and fair view of the financial position of DAAR COMMUNICATIONS PLC as at 31 December 2025 and of its financial performance and its Cash flows for the year then ended in accordance with the International Financial Reporting Standard (IFRS) as adopted by the Financial Reporting Council of Nigeria (FRC).

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants (IESBA), the provisions of the Companies and Allied Matters Act (CAMA), 2020, and other independence requirements applicable to performing audits of financial statements of DAAR COMMUNICATIONS PLC. We have fulfilled our other ethical responsibilities in accordance with the IESBA Code and CAMA applicable to performing the audits of DAAR COMMUNICATIONS PLC. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditors' responsibilities for the audit of the financial statements section of our report, including in relation to this matter. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures, performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Key Audit Matters	How the matters were addressed in the Audit
Recoverability of Accounts Receivables We identified the recoverability of accounts receivables as a key audit matter due to the significance of the balance to the financial statements as a whole, combined with the significant degree of judgments made by the management in assessing the impairment of accounts receivables and determining the allowance for doubtful debts. As at 31 December 2025, the carrying amounts of accounts receivables was ₦5.7 billion, net of allowance for expected credit loss of about ₦3.1 billion as disclosed in note 18 to the financial statements, representing 10% of the total assets of the Company. As disclosed in note 6.1 to the financial statements, the amount of allowance for doubtful debts was measured as the difference between the carrying amounts of accounts receivables and the estimated future cash flows by considering the credit history including default or delay	Our procedures concerning the recoverability of accounts receivables included: • Obtaining an understanding of how the allowance for doubtful debts is estimated by the management and assessing the management's process in determining the estimated future cash flows of accounts receivables; • Discussing with the management and obtaining a list of accounts receivables with relevant small amount of settlement, during the year or subsequent to the end of the reporting period identified by the management and their assessment on the recoverability of accounts receivables; • Checking the aging analysis and subsequent settlement of the accounts receivables, on a sample basis; • Assessing the reasonableness of allowance for doubtful debts for accounts receivables with reference to the credit history including default or delay in payments, settlement records, subsequent settlements, and aging

in payments, settlement records, subsequent settlements, and aging analysis of the accounts receivables. Repayment of liabilities Management's ability to meet its obligation to the company's Trade and other payables is a key audit matter. This amounted to ₦8.85 billion (2024 - ₦9.9 billion) as at 31 December 2025.	analysis of the accounts receivables on a sample basis; • Evaluating the historical accuracy of the management's assessment of impairment for accounts receivables on a sample basis by examining the actual write-offs, the reversal of previously recorded allowance, and new allowances recorded in the current year in respect of accounts receivables at the end of the previous financial year. • Confirming the existence of the transactions and ascertaining the authenticity and accuracy of the balances outstanding with respect to the debts. • Reviewing the repayment pattern during the year and ascertaining the accuracy of recording of such postings to confirm the correctness of outstanding balances. • Circularized the creditors and received responses confirming the debts. • Tracing the history of outstanding debts to confirm the length of time debts have been outstanding. • Enquired about plans to defray a significant portion of the outstanding liabilities. We noted that Management is consistently and systematically repaying the subordinated loan.
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Other Information

The directors are responsible for the other information. The other information comprises the Directors' Report, Corporate Governance Report, Statement of Directors' Responsibility, Audit Committee Report, Statement of Value Added and Five-Year Financial Summary, which we obtained prior to the date of this report, and the Annual Report, which is expected to be made available to us after that date. Other information does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon. In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If based on the work we have performed on the other information obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Financial Statements

The Directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the provisions of the Companies and Allied Matters Act (CAMA), 2020, the Financial Reporting Council Act No.6, 2011 as amended), and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going-concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so:

Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.

Conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

Evaluate the overall presentation, structure, and content of the financial statements, including disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Obtain sufficient appropriate audit evidence regarding the financial information of the entity or business activities within the company to express an opinion on the financial statements. We are responsible for the direction, supervision, and performance of the audit. We remain solely responsible for our audit opinion.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and

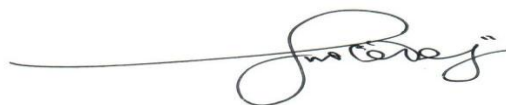
other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

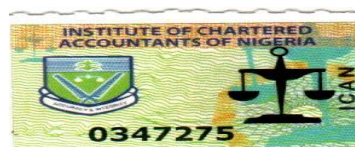
In accordance with the requirement of the Companies and Allied Matters Act (CAMA), 2020 we expressly state that:

- i. We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit
- ii. proper accounting records have been kept by the Company, so far as appears from our examination of those accounting records;
- iii. The Company's statement of financial position and statement of profit or loss and other comprehensive income are in agreement with the accounting records.



Oluwole O. Ogundeji
FRC/2013/PRO/ICAN/00000002825
for: Baker Tilly Nigeria
(Chartered Accountants)
FRC/2025/COY/096262

Abuja, Nigeria
30 March, 2026



BAKER TILLY NIGERIA

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INDEPENDENT AUDITOR'S ATTESTATION REPORT ON MANAGEMENT'S ASSESSMENT OF INTERNAL CONTROL OVER FINANCIAL REPORTING TO THE MEMBERS OF DAAR COMMUNICATIONS PLC

Scope

We have been engaged by DAAR COMMUNICATIONS PLC (the Company) and its subsidiaries (together the Group), to perform a 'limited assurance engagement', based on International Standards on Assurance Engagements Other Than Audits or Reviews of Historical Financial Information ('ISAE 3000 (Revised)') and FRC Guidance on Assurance Engagement Report on Internal Control over Financial Reporting, herein referred to as the engagement, to report on DAAR Communications Plc Internal Control over Financial Reporting (ICFR) (the "Subject Matter") contained in DAAR COMMUNICATIONS PLC Management's Assessment on Internal Control over Financial Reporting as of 31 December 2025 (the "Report").

A company's internal control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal control over financial reporting includes those policies and procedures that:

- 1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the Company;
- 2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial;
- 3) statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and
- 4) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Because of its inherent limitations, internal control over financial reporting may not prevent or detect all misstatements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Criteria applied by DAAR COMMUNICATIONS PLC

In designing, establishing and operating the Internal Control over Financial Reporting (ICFR) and preparing the Management's assessment of the Internal Control over Financial Reporting (ICFR), DAAR COMMUNICATIONS PLC applied the requirements of Internal Control-Integrated

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Framework (2013) of the Committee of Sponsoring Organizations of the Treadway Commission (COSO) Framework and SEC Guidance on Management Report on Internal Control Over Financial Reporting (Criteria). Such Criteria were specifically designed to enable organizations effectively and efficiently develop systems of internal control that adapt to changing business and operating environments, mitigate risks to acceptable levels, and support sound decision making and governance of the organization; As a result, the subject matter information may not be suitable for another purpose.

Directors' and Management's Responsibilities

The Directors are responsible for ensuring the integrity of the entity's financial controls and reporting.

Management is responsible for establishing and maintaining a system of internal control over financial reporting that provides reasonable assurance regarding the reliability of financial reporting, and the preparation of financial statements for external purposes in accordance with the International Financial Reporting Standards (IFRS) and the ICFR framework.

Section 7(2f) of the Financial Reporting Council of Nigeria (Amendment) Act 2023 further requires that management perform an assessment of internal controls, including information system controls. Management is responsible for maintaining evidential matters, including documentation, to provide reasonable support for its assessment of internal control over financial reporting.

Our responsibilities

Our responsibility is to express a conclusion on the design and operating effectiveness of the Internal Control over Financial Reporting based on our Assurance engagement.

We conducted our engagement in accordance with the International Standard for Assurance Engagements Other Than Audits or Reviews of Historical Financial Information ('ISAE 3000 (Revised)') and FRC Guidance on Assurance Engagement Report on Internal Control over Financial Reporting, those standards require that we plan and perform our engagement to obtain limited assurance on the entity's internal control over financial reporting based on our assurance engagement.

Our independence and quality management

We have maintained our independence and confirm that we have met the requirements of the Code of Ethics for Professional Accountants issued by the International Ethics Standards Board for Accountants (IESBA code) and have the required competencies and experience to conduct this assurance engagement.

We also apply International Standard on Quality Management 1, Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services engagements, which requires that we design, implement, and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Description of procedures performed

The procedures we performed included obtaining an understanding of internal control over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. Our engagement also included performing such other procedures as we considered necessary in the circumstances. We believe the procedures performed provides a basis for our report on the internal control put in place by management over financial reporting.

Conclusion

In conclusion, nothing has come to our attention to indicate that the internal control over financial reporting put in place by management is not adequate as of 31 December 2025, based on the requirements of Committee of Sponsoring Organizations of the Treadway Commission (COSO) Framework and SEC Guidance on Management Report on Internal Control Over Financial Reporting.

Other Matter

We also have audited, in accordance with the International Standards on Auditing, the financial statements of the DAAR COMMUNICATIONS PLC for the year ended 31 December 2025, and we expressed an unmodified opinion in our report dated 26 March 2025. Our conclusion is not modified in respect of this matter.



Oluwole O. Ogundeji
FRC/2013/PRO/ICAN/00000002825
for: Baker Tilly Nigeria
(Chartered Accountants)
FRC/2025/COY/096262

Abuja, Nigeria
30 March, 2026



DAAR COMMUNICATIONS PLC
STATEMENT OF PROFIT OR LOSS AND OTHER
COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER, 2025

	Note	2025 ₦'000	2024 ₦'000
Revenue	7	5,433,309	5,250,947
Cost of sales	8	(3,376,911)	(3,772,115)
Gross profit		2,056,398	1,478,832
Other income	9	455,852	555,431
Selling expenses	10	(179,594)	(146,455)
Allowance for impairment	10b	(556,225)	(1,350,479)
Provisions	10c	(37,500)	(72,000)
Administrative expenses	11	<u>(2,441,097)</u>	<u>(2,766,506)</u>
Operating loss before finance cost		(699,165)	(2,301,177)
Finance cost	12	(52,833)	(12,743)
Loss before tax		(751,998)	(2,313,920)
Taxation	14	<u>(122,659)</u>	<u>(27,795)</u>
Loss after tax		<u>(874,657)</u>	<u>(2,341,715)</u>
Other Comprehensive Income:			
Items that will not be reclassified to profit or loss:			
Gains (losses) on property revaluation		-	<u>706,673</u>
Other comprehensive income for the year net of taxes		-	<u>706,673</u>
Total comprehensive income for the year		<u>(874,657)</u>	<u>(1,635,042)</u>
Loss per share (kobo)		<u>(11)</u>	<u>(29)</u>

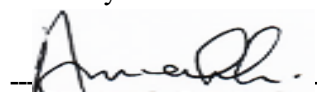
The accounting policies and notes on pages 23 to 65 form part of these financial statement

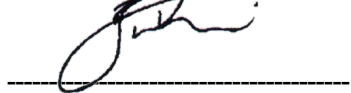
DAAR COMMUNICATIONS PLC

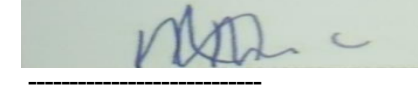
STATEMENT OF FINANCIAL POSITION
FOR THE YEAR ENDED 31 DECEMBER, 2025

Assets			
Non-Current Assets	Note	2025 N'000	2024 N'000
Property, Plant and Equipment	15	23,720,445	24,228,373
Intangible Assets	16	-	37,943
Investment	17	97,000	97,000
Deferred Tax Assets	14	-	-
		<u>23,817,445</u>	<u>24,363,316</u>
Current Assets			
Trade Receivables	18	2,654,949	2,607,282
Other Receivables & Prepayments	19	351,049	318,970
Cash and Cash Equivalents	20	<u>308,491</u>	<u>202,996</u>
Total Current Assets		<u>3,314,489</u>	<u>3,129,248</u>
Total Assets		<u>27,131,934</u>	<u>27,492,564</u>
Equity and Liabilities			
Equity			
Share Capital	21	4,000,000	4,000,000
Share Premium	22	13,411,541	13,411,541
Revaluation Surplus		17,939,479	17,939,479
Retained Earnings	23	<u>(18,545,601)</u>	<u>(19,167,473)</u>
Total Equity		<u>16,805,418</u>	<u>16,183,547</u>
Non-Current Liabilities			
Accrued Gratuity	26b	574,494	726,160
Bank Loan		<u>527,675</u>	<u>-</u>
Total Non-Current Liabilities		<u>1,102,169</u>	<u>726,160</u>
Current Liabilities			
Sub-ordinated Loan	24	-	144,666
Trade Payables	25	794,558	1,151,541
Bank loan current element	26a	256,301	-
Other Payables	26	7,926,593	8,538,225
Taxation	14	<u>246,894</u>	<u>748,425</u>
Total Current Liabilities		<u>9,224,347</u>	<u>10,582,857</u>
Total Liabilities		<u>10,326,515</u>	<u>11,309,017</u>
Total Equity and Liabilities		<u>27,131,934</u>	<u>27,492,564</u>

The financial statements were approved by the Board of Directors on 30 March, 2026 and signed on its behalf by:


Chief Dr Marcellinus Anyalechi
MD/CEO
FRC/2015/PRO/ICAN/0000013647


Chief Raymond Paul Dokpesi Jr
Chairman
FRC/2020/IOD/00000020977


Chief Stanley Sagboje, FCA
ED, Finance & Accounts/CFO
FRC/2016/PRO/ICAN/00000015580

The accounting policies and notes on pages 18 to 62 form part of these financial statements

DAAR COMMUNICATIONS PLC
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER, 2025

	Share Capital N'000	Share Premium N'000	Revaluation Surplus N'000	Retained Earnings N'000	Total N'000
Balance as at January 1, 2024	4,000,000	13,411,541	17,232,806	(16,825,758)	17,818,589
Loss for the year	-	-	-	(2,341,715)	(2,341,715)
Other Comprehensive Income:					
Revaluation Reserve	-	-	<u>706,673</u>	<u>-</u>	<u>706,673</u>
Balance as at Dec 31, 2024	<u>4,000,000</u>	<u>13,411,541</u>	<u>17,939,479</u>	<u>(19,167,473)</u>	<u>16,183,547</u>
Balance as at January 1, 2025	4,000,000	13,411,541	17,939,479	(19,167,473)	16,183,547
Reduction due to tax adjustment	-	-	-	<u>1,496,529</u>	<u>1,496,529</u>
RESTATED 2025	-	-	-	(17,670,944)	17,680,076
Loss for the year	-	-	-	(874,657)	(874,657)
Balance as at Dec 31, 2025	<u>4,000,000</u>	<u>13,411,541</u>	<u>17,939,479</u>	<u>(18,545,601)</u>	<u>16,805,418</u>

The accounting policies and notes on pages 18 to 62 form part of these financial statements

DAAR COMMUNICATIONS PLC
STATEMENT OF CASHFLOW
FOR THE YEAR ENDED 31 DECEMBER, 2025

	Note	2025 ₦'000	2024 ₦'000
Cash Flows from Operating Activities			
Loss for the year before tax		(751,998)	(2,313,920)
Adjustments for:			
Depreciation	15	1,389,015	1,202,855
Amortization of Intangible Assets	16	37,943	819
Write down of deferred tax assets	14.3	-	969,241
Finance Cost	12	52,833	12,743
Gratuity	26b	(151,666)	(139,215)
Prior Year adjustment		1,496,529	-
Prior Year Tax		<u>(614,190)</u>	-
		1,458,466	(267,477)
		=====	=====
			=
Changes in Assets & Liabilities			
Change in Trade Receivables	18	(47,668)	2,397,788
Change in Prepayments and Other Receivables	19	(32,079)	(99,545)
Change in Trade and Other Payables	25 & 26	<u>(712,313)</u>	<u>(1,449,632)</u>
Cash Generated from Operating Activities		666,405	581,134
Tax Paid	14.2	<u>(10,000)</u>	-
Net Cash inflow from Operating Activities		656,404	581,134
		=====	=====
Cash flows from Investing Activities			
Acquisition of Intangible Assets	16	-	(15,960)
Acquisition of Property, Plant and Equipment	15	(881,088)	(662,627)
Investment in AITNEWS 24	17	=	<u>400,893</u>
Net cash outflow from Investing Activities		(881,088)	(277,694)
Cash Flows from Financing Activities			
Bank Loan received		527,675	
Addition/Repayment of Subordinated loan	26	(144,666)	(217,363)
Interest Paid	12	<u>(52,833)</u>	<u>(12,743)</u>
Net increase in Cash and Cash Equivalents		105,495	73,334
Cash and Cash Equivalents at January 1		<u>202,996</u>	<u>129,662</u>
Cash and Cash Equivalents at December 31	20	<u>308,491</u>	<u>202,996</u>
		=====	=====

The accounting policies and notes on pages 18 to 62 form part of these financial statement

DAAR COMMUNICATIONS PLC

NOTES TO THE FINANCIAL STATEMENT

1. Corporate Information

DAAR Communications Plc. is the foremost independent broadcast organization in Nigeria. The Company was incorporated on August 31, 1988, as a limited liability company and converted into a public liability Company on April 23, 2007.

The Company pioneered private/independent broadcasting with the establishment of Raypower 100.5 FM radio station in September 1994 upon the deregulation of the broadcast sector in 1993 by the Federal Government of Nigeria. The organization also pioneered global satellite broadcasting in 1996 with the establishment of African Independent Television (AIT).

2.1 Basis of Presentation

These financial statements have been prepared on a going concern basis and in accordance with International Financial Reporting Standards (“IFRS”), being standards and interpretations issued by the International Accounting Standards Board (“IASB”), in force on 31 December 2025

2.2 Statement of Compliance

The Company's full financial statements for the year ended 31 December 2025 have been prepared in accordance with International Financial Reporting Standards as issued by the International Accounting Standards Board (IASB), and interpretations issued by the International Financial Reporting Interpretations Committee of the IASB (together “IFRS”) that are effective at 31 December 2025 and requirements of the Companies and Allied Matters Act (CAMA), 2020 and the Financial Reporting Council (FRC) Act of Nigeria 2011.

2.3 Composition of Financial Statements

In accordance with IFRS accounting presentation, the Financial Statements comprise: Statement of Profit or Loss and other comprehensive income, Statement of Financial Position, Statement of Changes in Equity, Statement of Cashflows and Notes to the Financial Statements including accounting policies.

2.4 Functional and Presentation Currency

The Financial Statements are drawn up in naira, the functional currency of DAAR Communications Plc. All values are rounded to the nearest thousands unless otherwise stated.

2.5. Measurement Bases

The financial statements have been prepared under the historical cost convention unless mentioned otherwise in the accounting policies below (e.g. certain financial instruments that are measured at fair value). Historical cost is generally based on the fair value of the consideration given in exchange for assets.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. When measuring the fair value of an asset or a liability, the Company uses market observable data

to the extent possible.

If the fair value of an asset or a liability is not directly observable, it is estimated by the Company (working closely with external qualified valuers) using valuation techniques that maximize the use of relevant observable inputs and minimize the use of unobservable inputs (e.g. by use of the market comparable approach that reflects recent transaction prices for similar items, discounted cash flow analysis, or option pricing models refined to reflect the issuer's specific circumstances). Inputs used are consistent with the characteristics of the asset/liability that market participants would take into account

Fair values are categorized into different levels in a fair value hierarchy based on the degree to which the inputs to the measurement are observable and the significance of the inputs to the fair value measurement in its entirety:

Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2 fair value measurements are those derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3 fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Transfers between levels of the fair value hierarchy are recognized by the Company at the end of the reporting period during which the change occurred.

2.6. Financial Period

These Financial Statements cover the financial years ended 31 December 2025 and comparative, 31 December 2023.

Application of new and revised International Financial Reporting Standards (IFRSs) effective for an accounting period that begins on or after January 1, 2025.

3.1.1 IFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information

The International Sustainability Standards Board (ISSB) was established in November 2021 to develop high-quality sustainability disclosure standards that meet investors' information needs with the objective to create a comprehensive global baseline of sustainability-related disclosures. IFRS S1 is one of the first IFRS Sustainability Disclosure Standards and result from a consultation process started in March 2022.

IFRS S1 sets out overall requirements for sustainability-related financial disclosures with the objective to require an entity to disclose information about its sustainability-related risks and opportunities that is useful to primary users of general-purpose financial reports in making decisions relating to providing resources to the entity.

This Standard is effective for annual periods beginning on or after 1 January 2025, with substantial transitional reliefs to allow preparers more time to align reporting of sustainability related financial disclosures and financial statements

IFRS S2 — Climate-related Disclosures

The International Sustainability Standards Board (ISSB) was established in November 2021 to develop high-quality sustainability disclosure standards that meet investors' information needs with the objective to create a comprehensive global baseline of sustainability-related disclosures. IFRS S2 is one of the first IFRS Sustainability Disclosure Standards and result from a consultation process started in March 2022.

IFRS S2 sets out the requirements for identifying, measuring and disclosing information about climate-related risks and opportunities that is useful to primary users of general-purpose financial reports in making decisions relating to providing resources to the entity.

This Standard is effective for annual periods beginning on or after 1 January 2025, with substantial transitional reliefs to allow preparers more time to align reporting of sustainability related financial disclosures and financial statements.

New and Revised IFRS Standards in issue but not yet effective

Table—New requirements effective from 1 January 2025			
Standard/ amendment	When issued	Effective date (early application is possible unless otherwise noted)	Standards/ Interpretations amended
Classification of Liabilities as Current or Non-current Amendment to IAS 1	January 2020	1 January 2025	IAS 1
Lease Liability in a Sale and Leaseback Amendment to IFRS 16	September 2022	1 January 2025	IFRS 16
Non-current Liabilities with Covenants Amendments to IAS 1	October 2022	1 January 2025	IAS 1

Table—New requirements effective from 1 January 2025			
Standard/ amendment	When issued	Effective date (early application is possible unless otherwise noted)	Standards/ Interpretations amended
Classification of Liabilities as Current or Non-current Amendment to IAS 1	January 2020	1 January 2025	IAS 1
Lease Liability in a Sale and Leaseback Amendment to IFRS 16	September 2022	1 January 2025	IFRS 16
Non-current Liabilities with Covenants Amendments to IAS 1	October 2022	1 January 2025	IAS 1

At the date of authorization of these financial statements, the Company has not applied the following new and revised IFRS Standards that have been issued but are not yet effective.

- 3.1 Lack of Exchangeability – Amendments to IAS 21 The Effects of Changes in Foreign Exchange Rates. Effective 1 January 2025
- 3.2 Amendments to the Classification and Measurement of Financial Instruments – Amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures

Annual Improvements to IFRS Accounting Standards – Amendments to:
IFRS 1 First-time Adoption of International Financial Reporting Standards;
IFRS 7 Financial Instruments: Disclosures and its accompanying Guidance on implementing IFRS 7;
IFRS 9 Financial Instruments;
IFRS 10 Consolidated Financial Statements; and
IAS 7 Statement of Cash flows

Effective date 1 January 2026

Contracts Referencing Nature-dependent Electricity – Amendments to IFRS 9 and IFRS 7. Effective 2026

IFRS 18 Presentation and Disclosure in Financial Statements effective 1 January 2027

IFRS 19 Subsidiaries without Public Accountability: Disclosures effective 1, January 2027

5. Significant Accounting Policies

A Going Concern

The directors have, at the time of approving the financial statements, a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future. Thus, they continue to adopt the going concern basis of accounting in preparing the financial statements.

B. Fair Value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique. In estimating the fair value of an asset or a liability, the Company takes into account the characteristics of the asset or liability that market participants would take into account when pricing the asset or liability at the measurement date. Fair value for measurement and/or disclosure purposes in these financial statements is determined on such a basis, except for measurements that have some similarities to fair value but are not fair value, such as net realisable value in IAS 2 or value in use in IAS 36.

C. Property, Plant and Equipment

Property, plant and equipment are stated at cost/revaluation less accumulated depreciation and any recognized impairment losses. Costs include expenditures that are directly attributable to the acquisition of assets. Subsequent costs are included in an asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. Where an asset retirement obligation exists, this will be included within the initial assessment of cost. Borrowing costs directly attributable to a qualifying asset, (that takes a substantial period to make ready for the intended use) are added to the cost of such assets until they are ready for their intended use.

All other repair and maintenance expenditures are charged to the Income Statement during the financial period in which they are incurred.

An item of property, plant and equipment is derecognized upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising from the disposal or retirement of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognized in profit or loss

Subsequent to initial recognition, property, plant and equipment is measured at cost less accumulated depreciation and any accumulated impairment losses, they are also stated at revalued amounts. The revalued amount is the fair value at the date of revaluation less any subsequent accumulated depreciation and impairment losses.

Revaluations are made with sufficient regularity such that the carrying amount does not differ materially from that which would be determined using fair value at the end of the reporting year.

When an item of property, plant and equipment is revalued, the gross carrying amount is adjusted consistently with the revaluation of the carrying amount. The accumulated depreciation at that date is adjusted to equal the difference between the gross carrying amount and the carrying amount after taking into account accumulated impairment losses.

The revaluation reserve related to a specific item of property, plant and equipment is transferred directly to retained income when the asset is derecognised.

The revaluation reserve related to a specific item of property, plant and equipment is transferred directly to retained income as the asset is used. The amount transferred is equal to the difference between depreciation based on the revalued carrying amount and depreciation based on the original cost of the asset, net of deferred tax.

D. Depreciation

Depreciation is calculated on the depreciable amount which is the cost of an asset, or revaluation of an asset or other amount substituted for cost, less its residual value on a straight-line basis.

Each part of an item of PP&E with a cost that is significant in relation to the whole is depreciated separately over its expected useful life.

Expected useful life is the period of use by the enterprise, not the asset's economic life, which could be appreciably longer. The depreciable amount takes account of the expected residual value of the assets. Both the useful life and the residual value are reviewed annually and the estimates revised as necessary.

The depreciation is recognized in the income statement on a straight-line basis over the estimated useful lives of an item of property, plant and equipment as follows:

Property Plant and Equipment	Range of Years
Building	50 years
Plant & Equipment	10 years
Motor Vehicles	4 years
Furniture and Fittings	10 years
Records and Discs	10 years

No depreciation is provided on freehold land, although, in common with all long-lived assets, it is subject to impairment testing, if deemed appropriate.

Construction costs and improvements in respect of offices are carried at cost as capital work-in-progress. On completion of construction or improvements, the related amounts are transferred to the appropriate category of property and equipment.

Payments in advance for items of property and equipment are included as Prepayments in "Other Assets" and upon delivery are reclassified as additions in the appropriate category of property and equipment.

E. Impairment of Property, Plant and Equipment

Where an item of Property, Plant and Equipment has become impaired, the carrying amount of the Property, Plant and Equipment is restated at the recoverable amount if it is lower than the carrying amount and the difference is recognized in the Statement of Comprehensive Income as an impairment loss. The revised carrying amount is amortized on a straight-line basis over the remaining life of the asset. Where there is no recoverable amount, the carrying amount is written off to the profit and loss account and recognized as an impairment loss.

Impairment is tested for when there is an indication of impairment such as:

- a) A decline in the market value of an asset;
- b) Changes in the technological, economic or legal environment resulting in an adverse effect on our activities;
- c) Obsolescence or damage of assets;
- d) Worsening performance of assets.

Where the asset does not generate cash flows that are independent of other assets, the recoverable amount of the cash-generating unit to which the asset belongs is determined, and impairment losses for the cash-generating units are allocated first against the goodwill of the unit (if any) and then pro-rata amongst the other assets of the unit. Subsequent increases in the recoverable amount caused by changes in estimates are credited to profit or loss to the extent that they reverse the impairment.

F. Intangible Assets License Fees

License fees are stated at historical cost less accumulated amortization. The amortization period is determined primarily by reference to the unexpired license period. Amortization is charged to the income statement on a straight-line basis over the estimated useful life of the license.

Acquired computer software licenses are capitalized based on the costs incurred to acquire and bring to use the specific software. These costs are amortized over their estimated useful lives. Costs associated with maintaining software programs are recognized as an expense as incurred.

Computer Software

Computer Software with finite lives is amortized over the useful life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life are reviewed at each financial year-end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortization period or method, as appropriate, and are treated as changes in accounting estimates on a prospective basis. The amortization expense on intangible assets with finite lives is recognized in the income statement in the expense category consistent with the function of the intangible asset.

An intangible asset is derecognized on disposal, or when no future economic benefits are expected from use or disposal. Gains or losses arising from the derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, are recognized in profit or loss when the asset is derecognized.

For intangible assets with finite useful lives, amortization is calculated to write off the cost of the asset, less its estimated residual value, over its useful life as follows:

Licenses	License	period
Computer Software	20%,	straight line.

G. Financial Instruments

Financial assets and financial liabilities are recognized in the Company's statement of financial position when the Company becomes a party to the contractual provisions of the instrument. Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognized immediately in profit or loss.

Financial Assets

All regular-way purchases or sales of financial assets are recognized and derecognized on a trade date basis. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the marketplace.

All recognized financial assets are measured subsequently in their entirety at either amortized cost or fair value, depending on the classification of the financial assets.

Classification of Financial Assets

Debt instruments that meet the following conditions are measured subsequently at amortized cost:

- the financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Debt instruments that meet the following conditions are measured subsequently at fair value through other comprehensive income (FVTOCI):

- the financial asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling the financial assets; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.
- By default, all other financial assets are measured subsequently at fair value through profit or loss (FVTPL). Despite the foregoing, the Company may make the following irrevocable election/designation at initial recognition of a financial asset:
- the Company may irrevocably elect to present subsequent changes in fair value of an equity investment in other comprehensive income if certain criteria are met

(see (iii) below); and

- the Company may irrevocably designate a debt investment that meets the amortized cost or FVTOCI criteria as measured at FVTPL if doing so eliminates or significantly reduces an accounting mismatch (see (iv) below).

Amortized Cost and Effective Interest Method

The effective interest method is a method of calculating the amortized cost of a debt instrument and of allocating interest income over the relevant period.

For financial assets other than purchased or originated credit-impaired financial assets (i.e. assets that are credit-impaired on initial recognition), the effective interest rate is the rate that exactly discounts estimated future cash receipts (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs, and other premiums or discounts) excluding expected credit losses, through the expected life of the debt instrument, or, where appropriate, a shorter period, to the gross carrying amount of the debt instrument on initial recognition. For purchased or originated credit-impaired financial assets, a credit-adjusted effective interest rate is calculated by discounting the estimated future cash flows, including expected credit losses, to the amortized cost of the debt instrument on initial recognition.

The amortized cost of a financial asset is the amount at which the financial asset is measured at initial recognition minus the principal repayments, plus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount, adjusted for any loss allowance. The gross carrying amount of a financial asset is the amortized cost of a financial asset before adjusting for any loss allowance.

Interest income is recognized using the effective interest method for debt instruments measured subsequently at amortized cost and FVTOCI. For financial assets other than purchased or originated credit-impaired financial assets, interest income is calculated by applying the effective interest rate to the gross carrying amount of a financial asset, except for financial assets that have subsequently become credit-impaired (see below).

For financial assets that have subsequently become credit-impaired, interest income is recognized by applying the effective interest rate to the amortized cost of the financial asset. If in subsequent reporting periods, the credit risk on the credit-impaired financial instrument improves so that the financial asset is no longer credit-impaired, interest income is recognized by applying the effective interest rate to the gross carrying amount of the financial asset.

For purchased or originated credit-impaired financial assets, the Company recognizes interest income by applying the credit-adjusted effective interest rate to the amortized cost of the financial asset from initial recognition.

The calculation does not revert to the gross basis even if the credit risk of the financial asset subsequently improves so that the financial asset is no longer credit-impaired. Interest income is recognized in profit or loss and is included in the "finance income – interest income".

Debt Instruments Classified as at FVTOCI

The corporate bonds held by the Company are classified as at FVTOCI. The corporate bonds are initially measured at fair value plus transaction costs.

Subsequently, changes in the carrying amount of these corporate bonds as a result of foreign exchange gains and losses impairment gains or losses, and interest income calculated using the effective interest method are recognized in profit or loss. The amounts that are recognized in profit or loss are the same as the amounts that would have been recognized in profit or loss if these corporate bonds had been measured at amortized cost. All other changes in the carrying amount of these corporate bonds are recognized in other comprehensive income and accumulated under the heading of investments revaluation reserve. When these corporate bonds are derecognized, the cumulative gains or losses previously recognized in other comprehensive income are reclassified to profit or loss.

iii) Equity Instruments Designated as at FVTOCI

On initial recognition, the Company may make an irrevocable election (on an instrument-by-instrument basis) to designate investments in equity instruments as at FVTOCI. Designation at FVTOCI is not permitted if the equity investment is held for trading or if it is contingent consideration recognized by an acquirer in a business combination.

A financial asset is held for trading if:

it has been acquired principally to sell it in the near term; or
on initial recognition it is part of a portfolio of identified financial instruments that the Company manages together and has evidence of a recent

actual pattern of short-term profit-taking; or

it is a derivative (except for a derivative that is a financial guarantee contract or a designated and effective hedging instrument).

Investments in equity instruments at FVTOCI are initially measured at fair value plus transaction costs. Subsequently, they are measured at fair value with gains and losses arising from changes in fair value recognized in other comprehensive income and accumulated in the investments revaluation reserve. The cumulative gain or loss is not be reclassified to profit or loss on disposal of the equity investments, instead, it is transferred to retained earnings.

Dividends on these investments in equity instruments are recognized in profit or loss in accordance with IFRS 9 unless the dividends clearly represent a recovery of part of the cost of the investment. The Company has designated all investments in equity instruments that are not held for trading as at FVTOCI on the initial application of IFRS 9.

iv) Financial Assets at FVTPL

Financial assets that do not meet the criteria for being measured at amortized cost or FVTOCI (see (i) to (iii) above) are measured at FVTPL. Specifically:

Investments in equity instruments are classified as at FVTPL unless the Company designates an equity investment that is neither held for trading nor a contingent consideration arising from a business combination as at FVTOCI on initial recognition (see (iii) above).

Debt instruments that do not meet the amortized cost criteria or the FVTOCI criteria (see (i) and (ii) above) are classified as at FVTPL. In addition, debt instruments that meet either the amortized cost criteria or the FVTOCI criteria may be designated as at FVTPL upon initial recognition if such designation eliminates or significantly reduces a measurement or recognition inconsistency (so-called 'accounting mismatch') that would arise from measuring assets or liabilities or recognizing the gains and losses on them on different bases. The Company has not designated any debt instruments as at FVTPL.

Financial assets at FVTPL are measured at fair value at the end of each reporting period, with any fair value gains or losses recognized in profit or loss to the extent they are not part of a designated hedging relationship).

Foreign Exchange Gains and Losses

The carrying amount of financial assets that are denominated in a foreign currency is determined in that foreign currency and translated at the spot rate at the end of each reporting period. Specifically,

- for financial assets measured at amortized cost that are not part of a designated hedging relationship, exchange differences are recognized in profit or loss in the 'other gains and losses' line item;
- for debt instruments measured at FVTOCI that are not part of a designated hedging relationship, exchange differences on the amortized cost of the debt instrument are recognized in profit or loss in the 'other gains and losses. Other exchange differences are recognized in other comprehensive income in the investments revaluation reserve;
- for financial assets measured at FVTPL that are not part of a designated hedging relationship, exchange differences are recognized in profit or loss in the 'other gains and losses; and
- for equity instruments measured at FVTOCI, exchange differences are recognized in other comprehensive income in the investment revaluation reserve.

Impairment of Financial Assets

The Company recognizes a loss allowance for expected credit losses on investments in debt instruments that are measured at amortized cost or at FVTOCI, lease receivables, trade receivables, and contract assets, as well as on financial guarantee contracts. The amount of expected credit losses is updated at each reporting date to reflect changes in credit risk since the initial recognition of the respective financial instrument.

The Company always recognizes lifetime ECL for trade receivables, contract assets, and lease receivables. The expected credit losses on these financial assets are estimated using a provision matrix based on the Company's historical credit loss experience, adjusted for factors that are specific to the debtors, general economic conditions, and an assessment of both the current as well as the forecast direction of conditions at the reporting date, including time value of money where appropriate.

For all other financial instruments, the Company recognizes lifetime ECL when there has been a significant increase in credit risk since initial recognition. However, if the credit risk on the financial instrument has not increased significantly since initial recognition, the Company measures the loss allowance for that financial

instrument at an amount equal to 12-month ECL.

Lifetime ECL represents the expected credit losses that will result from all possible default events over the expected life of a financial instrument. In contrast, 12-month ECL represents the portion of lifetime ECL that is expected to result from default events on a financial instrument that are possible within 12 months after the reporting date.

i) Significant Increase in Credit Risk

In assessing whether the credit risk on a financial instrument has increased significantly since initial recognition, the Company compares the risk of a default occurring on the financial instrument at the reporting date with the risk of a default occurring on the financial instrument at the date of initial recognition. In making this assessment, the Company considers both quantitative and qualitative information that is reasonable and supportable, including historical experience and forward-looking information that is available without undue cost or effort. Forward-looking information considered includes the future prospects of the industries in which the Company's debtors operate, obtained from economic expert reports, financial analysts, governmental bodies, relevant think-tanks, and other similar organisations, as well as consideration of various external sources of actual and forecast economic information that relates to the Company's core operations.

In particular, the following information is taken into account when assessing whether credit risk has increased significantly since initial recognition:

- an actual or expected significant deterioration in the financial instrument's external (if available) or internal credit rating;
- significant deterioration in external market indicators of credit risk for a particular financial instrument, e.g. a significant increase in the credit spread, the credit default swap prices for the debtor, or the length of time or the extent to which the fair value of a financial asset has been less than its amortized cost;
- existing or forecast adverse changes in business, financial or economic conditions that are expected to cause a significant decrease in the debtor's ability to meet its debt obligations;
- an actual or expected significant deterioration in the operating results of the debtor;
- significant increases in credit risk on other financial instruments of the same debtor;
- an actual or expected significant adverse change in the regulatory, economic, or technological environment of the debtor that results in a significant decrease in the debtor's ability to meet its debt obligations.

Irrespective of the outcome of the above assessment, the Company presumes that the credit risk on a financial asset has increased significantly since initial recognition when contractual payments are more than 30 days past due unless the Company has reasonable and supportable information that demonstrates otherwise.

Despite the foregoing, the Company assumes that the credit risk on a financial instrument has not increased significantly since initial recognition if the financial instrument is determined to have low credit risk at the reporting date. A financial instrument is determined to have low credit risk if:

The financial instrument has a low risk of default,

The debtor has a strong capacity to meet its contractual cash flow obligations in the near term, and Adverse changes in economic and business conditions in the longer term may, but will not necessarily, reduce the ability of the borrower to fulfill its contractual cash flow obligations.

The Company considers a financial asset to have low credit risk when the asset has an external credit rating of 'investment grade' in accordance with the globally understood definition or if an external rating is not available, the asset has an internal rating of 'performing'. Performing means that the counterparty has a strong financial position and there are no past due amounts.

For financial guarantee contracts, the date that the Company becomes a party to the irrevocable commitment is considered to be the date of initial recognition for the purposes of assessing the financial instrument for impairment. In assessing whether there has been a significant increase in the credit risk since the initial recognition of a financial guarantee contract, the Company considers the changes in the risk that the specified debtor will default on the contract.

The Company regularly monitors the effectiveness of the criteria used to identify whether there has been a significant increase in credit risk and revises them as appropriate to ensure that the criteria are capable of identifying a significant increase in credit risk before the amount becomes past due.

ii) Definition of Default

The Company considers the following as constituting an event of default for internal credit risk management purposes as historical experience indicates that financial assets that meet either of the following criteria are generally not recoverable:

when there is a breach of financial covenants by the debtor; or

information developed internally or obtained from external sources indicates that the debtor is unlikely to pay its creditors, including the Company, in full (without taking into account any collateral held by the Company).

Irrespective of the above analysis, the Company considers that default has occurred when a financial asset is more than 90 days past due unless the Company has reasonable and supportable information to demonstrate that a more lagging default criterion is more appropriate.

iii) Credit-Impaired Financial Assets

A financial asset is credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of that financial asset have occurred. Evidence that a financial asset is credit-impaired includes observable data about the following events:

the significant financial difficulty of the issuer or the borrower;

a breach of contracts, such as a default or past due event (see (ii) above);

the lender(s) of the borrower, for economic or contractual reasons relating to the borrower's financial difficulty, having granted to the borrower a concession(s) that the lender(s) would not otherwise consider;

it is becoming probable that the borrower will enter bankruptcy or other financial

reorganization; or the disappearance of an active market for that financial asset because of financial difficulties.

iv) Write-off policy

The Company writes off a financial asset when there is information indicating that the debtor is in severe financial difficulty and there is no realistic prospect of recovery, e.g. when the debtor has been placed under liquidation or has entered into bankruptcy proceedings, or in the case of trade receivables when the amounts are over two years past due, whichever occurs sooner. Financial assets written off may still be subject to enforcement activities under the Company's recovery procedures, taking into account legal advice where appropriate. Any recoveries made are recognized in profit or loss.

v) Measurement and Recognition of Expected Credit Losses

The measurement of expected credit losses is a function of the probability of default, loss given default (i.e. the magnitude of the loss if there is a default), and the exposure at default. The assessment of the probability of default and loss given default is based on historical data adjusted by forward-looking information as described above.

As for the exposure at default, for financial assets, this is represented by the assets' gross carrying amount at the reporting date; for financial guarantee contracts, the exposure includes the amount drawn down as at the reporting date, together with any additional amounts expected to be drawn down in the future by default date determined based on historical trend, the Company's understanding of the specific future financing needs of the debtors, and other relevant forward-looking information.

For financial assets, the expected credit loss is estimated as the difference between all contractual cash flows that are due to the Company in accordance with the contract and all the cash flows that the Company expects to receive, discounted at the original effective interest rate. For a lease receivable, the cash flows used for determining the expected credit losses are consistent with the cash flows used in measuring the lease receivable in accordance with IAS 17 Leases.

For a financial guarantee contract, as the Company is required to make payments only in the event of a default by the debtor in accordance with the terms of the instrument that is guaranteed, the expected loss allowance is the expected payments to reimburse the holder for a credit loss that it incurs less any amounts that the Company expects to receive from the holder, the debtor or any other party.

If the Company has measured the loss allowance for a financial instrument at an amount equal to lifetime ECL in the previous reporting period but determines at the current reporting date that the conditions for lifetime ECL are no longer met, the Company measures the loss allowance at an amount equal to 12-month ECL at the current reporting date, except for assets for which simplified approach was used.

The Company recognizes an impairment gain or loss in the statement of profit or loss for all financial instruments with a corresponding adjustment to their carrying amount through a loss allowance account, except for investments in debt instruments that are measured at FVTOCI, for which the loss allowance is recognized in other comprehensive income and accumulated in the investment

revaluation reserve, and does not reduce the carrying amount of the financial asset in the statement of financial position.

Derecognition of Financial Assets

The Company derecognizes a financial asset only when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another entity.

If the Company neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Company recognizes its retained interest in the asset and an associated liability for amounts it may have to pay. If the Company retains substantially all the risks and rewards of ownership of a transferred financial asset, the Company continues to recognise the financial asset and also recognizes a collateralised borrowing for the proceeds received.

On derecognition of a financial asset measured at amortized cost, the difference between the asset's carrying amount and the sum of the consideration received and receivable is recognized in profit or loss. Also, on derecognition of an investment in a debt instrument classified as at FVTOCI, the cumulative gain or loss previously accumulated in the investments revaluation reserve is reclassified to profit or loss. In contrast, on derecognition of an investment in equity instrument which the Company has elected on initial recognition to measure at FVTOCI, the cumulative gain or loss previously accumulated in the investments revaluation reserve is not reclassified to profit or loss but is transferred to retained earnings.

Financial Liabilities and Equity Classification as Debt or Equity

Debt and equity instruments are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument.

Equity Instruments

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Company are recognized at the proceeds received net of direct issue costs.

Repurchase of the Company's own equity instruments is recognized and deducted directly in equity. No gain or loss is recognized in profit or loss on the purchase, sale, issue, or cancellation of the Company's equity instruments.

Compound Instruments

The component parts of convertible loan notes issued by the Company are classified separately as financial liabilities and equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument. A conversion option that will be settled by the exchange of a fixed amount of cash or another financial asset for a fixed number of the Company's own equity instruments is an equity instrument.

At the date of issue, the fair value of the liability component is estimated using the prevailing market interest rate for a similar non-convertible instrument. This amount is recorded as a liability on an amortized cost basis using the effective interest method until extinguished upon conversion or at the instrument's maturity date.

The conversion option classified as equity is determined by deducting the amount of the liability component from the fair value of the compound instrument as a whole. This is recognized and included in equity, net of income tax effects, and is not subsequently remeasured.

In addition, the conversion option classified as equity will remain in equity until the conversion option is exercised, in which case, the balance recognized in equity will be transferred to [share premium/other equity [describe]]. Where the conversion option remains unexercised at the maturity date of the convertible loan note, the balance recognized in equity will be transferred to [retained profits/other equity [describe]]. No gain or loss is recognized in profit or loss upon conversion or expiration of the conversion option.

Transaction costs that relate to the issue of the convertible loan notes are allocated to the liability and equity components in proportion to the allocation of the gross proceeds. Transaction costs relating to the equity component are recognized directly in equity.

Transaction costs relating to the liability component are included in the carrying amount of the liability component and are amortized over the lives of the convertible loan notes using the effective interest method.

Financial Liabilities

All financial liabilities are measured subsequently at amortized cost using the effective interest method or at FVTPL. However, financial liabilities that arise when a transfer of a financial asset does not qualify for derecognition or when the continuing involvement approach applies, and financial guarantee contracts issued by the Company, are measured in accordance with the specific accounting policies set out below.

Financial Liabilities at FVTPL

Financial liabilities are classified as at FVTPL when the financial liability is (i) contingent consideration of an acquirer in a business combination, (ii) held for trading, or (iii) it is designated as at FVTPL.

A financial liability is classified as held for trading if:

it has been acquired principally for the purpose of repurchasing it in the near term; or on initial recognition it is part of a portfolio of identified financial instruments that the Company manages together and has a recent actual pattern of short-term profit-taking; or
it is a derivative, except for a derivative that is a financial guarantee contract or a designated and effective hedging instrument.

A financial liability other than a financial liability held for trading or contingent consideration of an acquirer in a business combination may be designated as at FVTPL upon initial recognition if:

- such designation eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise; or the financial liability forms part of a Company's financial assets or financial liabilities or both, which is managed and its performance is evaluated on a fair value basis, in accordance with the Company's documented risk management or investment strategy, and information about the Companying is provided internally on that

basis; or it forms part of a contract containing one or more embedded derivatives, and IFRS 9 permits the entire combined contract to be designated as at FVTPL.

Financial liabilities at FVTPL are measured at fair value, with any gains or losses arising on changes in fair value recognized in profit or loss to the extent that they are not part of a designated hedging relationship.

However, for financial liabilities that are designated as at FVTPL, the amount of change in the fair value of the financial liability that is attributable to changes in the credit risk of that liability is recognized in other comprehensive income, unless the recognition of the effects of changes in the liability's credit risk in other comprehensive income would create or enlarge an accounting mismatch in profit or loss. The remaining amount of change in the fair value of a liability is recognized in profit or loss.

Changes in fair value attributable to a financial liability's credit risk that is recognized in other comprehensive income are not subsequently reclassified to profit or loss; instead, they are transferred to retained earnings upon derecognition of the financial liability.

Gains or losses on financial guarantee contracts issued by the Company that is designated by the Company as at FVTPL are recognized in profit or loss.

Financial Liabilities Measured Subsequently at Amortized Cost

Financial liabilities that are not (i) contingent consideration of an acquirer in a business combination, (ii) held-for-trading, or (iii) designated as FVTPL, are measured subsequently at amortized cost using the effective interest method.

The effective interest method is a method of calculating the amortized cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs, and other premiums or discounts) through the expected life of the financial liability, or (where appropriate) a shorter period, to the amortized cost of financial liability.

Financial Guarantee Contract Liabilities

A financial guarantee contract is a contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payments when due in accordance with the terms of a debt instrument.

Financial guarantee contract liabilities are measured initially at their fair values and, if not designated as at FVTPL and do not arise from a transfer of an asset, are measured subsequently at the higher of:

the amount of the loss allowance determined under IFRS 9 (see financial assets above); and

the amount recognized initially less, where appropriate, cumulative amortisation recognized in accordance with the revenue recognition policies set out above.

Foreign Exchange Gains and Losses

For financial liabilities that are denominated in a foreign currency and are measured at amortized cost at the end of each reporting period, the foreign exchange gains and losses are determined based on the amortized cost of the instruments. These foreign exchange gains and losses are recognized in the 'other gains and losses, for financial liabilities that are not part of a designated hedging relationship. For those which are designated as a hedging instrument for a hedge of foreign currency risk, foreign exchange gains and losses are recognized in other comprehensive income and accumulated in a separate component of equity.

The fair value of financial liabilities denominated in a foreign currency is determined in that foreign currency and translated at the spot rate at the end of the reporting period.

For financial liabilities that are measured as at FVTPL, the foreign exchange component forms part of the fair value gains or losses and is recognized in profit or loss for financial liabilities that are not part of a designated hedging relationship.

Derecognition of Financial Liabilities

The Company derecognizes financial liabilities when, and only when, the Company's obligations are discharged, cancelled, or have expired. The difference between the carrying amount of the financial liability derecognized and the consideration paid and payable is recognized in profit or loss.

When the Company exchanges with the existing lender one debt instrument into another one with substantially different terms, such exchange is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. Similarly, the Company accounts for substantial modification of terms of an existing liability or part of it as an extinguishment of the original financial liability and the recognition of a new liability. It is assumed that the terms are substantially different if the discounted present value of the cash flows under the new terms, including any fees, paid net of any fees received and discounted using the original effective rate is at least 10 percent different from the discounted present value of the remaining cash flows of the original financial liability. If the modification is not substantial, the difference between (1) the carrying amount of the liability before the modification; and (2) the present value of the cash flows after modification should be recognized in profit or loss as the modification gain or loss within other gains and losses.

h) Inventory

Inventories are stated at the lower of cost and net realizable value. The cost of finished goods and work-in-progress include raw materials, translations, printing, and production costs. Raw materials are valued at purchase cost on a first-in, first-out basis. Net realizable value is the estimated selling price in the ordinary course of business, less estimated costs of completion, and estimated costs necessary to make the sale. Slow-moving and obsolete inventories are written down to their net realizable value. Reversals of previous write-downs to net realizable value are recorded when there is a subsequent increase in the value of the inventory.

i) Borrowing Costs

Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds. Borrowing costs directly attributable to the acquisition, construction, or production of an asset that necessarily takes a substantial period to get ready for its intended use or sale are capitalized as part of the cost of the asset. All other borrowing costs are expensed in the period they are incurred.

j) Foreign Currency Transactions and Translation

Functional and presentation currency- Items included in the financial statements of the Company are measured using the currency of the primary economic environment in which the entity operates (the functional currency). The financial statements are presented in naira, which is the Company's functional and presentation currency.

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions.

Foreign exchange gains and losses resulting from the settlement of such transactions and the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognized in the statement of profit or loss and other comprehensive income.

Non-monetary assets and liabilities in a foreign currency that are measured in terms of historical cost are translated using the exchange rate at the transaction date.

Non-monetary assets and liabilities denominated in foreign currencies that are stated at fair value are translated to the functional currency at foreign exchange rates prevailing at the dates the fair value was determined.

k) Revenue Recognition

Revenue is measured based on the consideration specified in a contract with a customer and excludes amounts collected on behalf of third parties. The Company recognizes revenue when it satisfies its performance obligations and transfers control over services to a customer.

Revenue is shown net of value-added tax, returns, rebates, and discounts after eliminating sales within the Company. The Company recognized revenue when the amount of revenue can be reliably measured; it is probable that future economic benefits will flow to the Company and when the significant risks and rewards of ownership of the goods and services have been transferred to the customer. The amount is not considered to be reliably measurable until all contingencies relating to the sale have been resolved. The Company bases its estimates on historical results, taking into consideration the type of customer, the type of transaction, and the specifics of each arrangement.

The revenue is booked upon the airing of the advertisement or sponsorship programme and after it is confirmed by the advert traffic department. Month-end cut-off procedures are performed and pro-rata income is recorded. The cost incurred to earn revenue is measured reliably. The cost comprises salaries, depreciation, transportation, etc.

Product Sales

Sales relate mainly to decoders and are recognized upon delivery of products and customer acceptance, net of sales taxes, VAT, and discounts, and after eliminating sales within the Company. Sales of goods are recognized when the Company has delivered products to the retailer, the retailer has full discretion over the channel and price to sell the products, and there is no unfulfilled obligation that could affect the retailer's acceptance of the products. Delivery does not occur until the products have been shipped to the specified location, the risks of obsolescence and loss have been transferred to the retailer, and either the retailer has accepted the products in accordance with the sales contract, or the Company has objective evidence that all criteria for acceptance have been satisfied.

Sponsorship Revenues

Sponsorship revenue is recognized at the time sponsored programs are broadcast. Amount paid in respect of programs not yet broadcasted is treated as a deposit by customers and recognized according to the stage of completion at the reporting date. (That is when an obligation is carried out by the company).

However, when the outcome of the transaction cannot be estimated reliably, recoverable contract costs will determine the extent of revenue recognition.

Advertising Expenses

Advertising expenses are expensed in the financial period in which they are incurred.

l) Programme and Film Rights

Purchased programme and film rights are stated at acquisition costs less accumulated amortisation. Programme material rights, which consist of the rights to broadcast programmes, series, and films, are recorded at the date the rights come into license at the spot rates on the purchase date. The rights are amortized based on contracted screenings or expensed where management has confirmed that they intend that no further screenings will occur.

Programme material rights contracted by the reporting date in respect of programmes, series, and films not yet in license are disclosed as commitments.

Programme Production Costs

Programme Production Costs, which consist of all costs necessary to produce and complete a programme to be broadcast, are recorded at the lower of direct cost and net realisable value. Net realisable value is set at the average cost of programme material rights. Where a prepayment has been made on a right, the right will be recorded at the spot rate on prepayment date for the portion of the right prepaid and the spot rate on license date for the portion of the licence not prepaid. Programme production costs are amortized based on contracted screenings or expensed where management has confirmed that they intend that no further screenings will occur.

All programme production costs above the expected net realisable value of the production on completion, are expensed when contracted.

Sports Event Rights

Sports events rights are recorded at the date that the period to which the events relate commences, at the rate of exchange ruling at that date. These rights are expensed over the period to which the events relate or where management has confirmed that it intends that the event will not be screened.

Payments made to negotiate and secure the broadcasting of sports events are expensed as incurred.

Rights to future sports events contracted by the reporting date, but which have not yet commenced, are disclosed as commitments, except where payments have already been made, which are shown as prepaid expenses.

m) **Deferred Income (Contract Asset)**

Deferred income represents the part of the amount invoiced to customers that have not yet met the criteria for revenue recognition and thus still has to be earned as revenues through the delivery of goods and services in the future. Deferred income is recognized at its nominal value.

n) **Segment Reporting**

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker, who is responsible for allocating resources and assessing the performance of the operating segments, has been identified as the Managing Director.

o) **Employee Benefits**

Defined Contribution Scheme

The Company operates a defined contribution-based retirement benefits scheme for its staff, in accordance with the Pension Reform Act of 2014; each employee contributes 8% while the employer contributes 10% of each of the employee's relevant emoluments. Obligations for contributions to the scheme are recognized as an expense in the income statement in the period in which they arise.

Defined Benefit Scheme

A defined benefit plan is a pension plan that defines an amount of pension benefit that an employee will receive on retirement, usually dependent on more than one factor such as age, years of service, and compensation. The liability recognized in the Statement of Financial Position in respect of defined benefit pension plans is the present value of the defined benefit obligation at the date of the Statement of Financial Position less the fair value of plan assets.

p) **Taxes**

Tax expense comprises current and deferred tax. Tax expense is recognized in the Statement of Comprehensive Income unless it relates to items recognized outside the statement of income. Tax expense relating to items recognized outside of the Statement of Comprehensive Income is recognized in correlation to the underlying transaction in either other comprehensive income or equity.

Current Income Tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the reporting date.

Deferred Tax

Deferred tax is provided using the liability method for temporary differences between the tax bases of assets and liabilities and their carrying amount for financial reporting purposes. Deferred tax assets and liabilities are measured using substantively enacted tax rates and laws at the reporting date that are expected to be in effect when the temporary differences arise on initial recognition of assets and liabilities other than in a business combination.

Deferred tax assets are recognized for all deductible temporary differences, carry forward of unused tax credits and unused tax losses to the extent that sufficient taxable profit will probably be available against which they can be utilized.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

q) Provisions

Provisions are recognized if the Company has a present legal or constructive obligation as a result of the past event if it is probable that an outflow of resources will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation. The amount recognized as a provision is the best estimate of the consideration required to settle the present obligation as of the date of the Statement of Financial Position, taking into account the risks and uncertainties surrounding the obligation.

Provisions are discounted and measured at the present value of the expenditure expected to be required to settle the obligation, using a pre-tax rate that reflects the current market assessments of the time value of money and the risks specific to the obligation. The increase in the provision due to the passage of time is recognized as an interest expense.

r) Share Capital and Share Premium

Ordinary shares are recognized at par value and classified as share capital in equity. Any amounts received from the issue of shares in excess of the par value are classified as share premium in equity.

s) Earnings Per Share

Basic and diluted earnings per share are presented even if the amounts are negative (a loss per share). Diluted earnings per share also are presented even if it equals basic earnings per share and this may be accomplished by the presentation of basic and diluted earnings per share in one line item. The calculation of basic earnings per share is based on the profits attributable to ordinary shareholders using the weighted average number of shares outstanding during the year after deduction of the average number of treasury shares held over the period. The calculation of diluted earnings per share is consistent with the calculation of basic earnings per share while giving effect to all dilutive potential ordinary shares that were outstanding during the

period, that is:

- The net profit for the period attributable to ordinary shares is increased by the after-tax amount of dividends and interest recognized in the period in respect of the dilutive potential ordinary shares and adjusted for any other changes in income or expense that would result from the conversion of the dilutive potential ordinary shares.
 - The weighted average number of additional ordinary shares that would have been outstanding assuming the conversion of all dilutive potential ordinary shares increases the weighted average number of ordinary shares outstanding.
- t) Investments in Subsidiaries, Joint Ventures and Associated Companies Investments in subsidiaries, joint ventures and associated companies are carried at cost, less accumulated impairment losses in the Company's balance sheet. On disposal of investments in subsidiaries, joint ventures and associated companies, the difference between disposal proceeds and the carrying amounts of the investments are recognized in profit or loss.
- u) **Contingent Liabilities**
A contingent liability is a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company, or a present obligation that arises from past events but is not recognized because it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation, or the amount of the obligation cannot be measured with sufficient reliability. Contingent assets and contingent liabilities are not recognized. Contingencies are disclosed in note 31.

6. Critical Accounting Judgments and Key Sources of Estimation Uncertainty

In the application of the Company's accounting policies, which are described in note 5, the directors are required to make judgments, estimates, and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

6.1 Critical Judgments in applying the Company's Accounting Policies

The following are the critical judgments, apart from those involving estimations (which are dealt with separately below), that the directors have made in the process of applying the Company's accounting policies and that have the most significant effect on the amounts recognized in financial statements.

Estimated useful lives of property, plant and equipment

Management estimates the useful lives of various categories of property, plant and equipment according to the industrial experiences over the usage of property, plant and equipment and also by reference to the relevant industrial norm. If the actual useful lives of property, plant and equipment are less than the original estimated useful lives due to changes in the commercial and technological environment, such difference will impact the depreciation charge for the remaining period. As at 31

December 2025, the carrying amount of property, plant and equipment of the Company amounted to N24.228 billion (2023: N24 billion).

Estimated Impairment of Accounts Receivables

The Management determined the carrying amount of accounts receivables by considering the credit history including default or delay in payments, settlement records, subsequent settlement, and aging analysis of the accounts receivables. The amount of the allowance for doubtful debts is measured as the difference between the asset's carrying amount and the estimated future cash flows based on the above consideration. Where the actual future cash flows are less than expected, a material impairment loss may arise. As at 31st DECEMBER 2023, the carrying amounts of accounts receivables was N2.75 billion, net of allowance for lost and doubtful debts of about N1.75 billion.

6.2 Key Sources of Estimation Uncertainty Valuation of Financial Liabilities

Financial liabilities have been measured at amortized cost in line with the guidance provisions of IFRS 9. The effective interest rate used in determining the amortized cost of the individual liability amounts has been estimated using the contractual cash flows on the loans. IFRS 9 requires the use of the expected cash flows but also allows for the use of contractual cash flows in instances where the expected cash flows cannot be reliably determined. However, the effective interest rate has been determined to be the rate that effectively discounts all the future contractual cash flows on the loans including processing, management fees, and other fees that are incidental to the different loan transactions.

	2025 N'000	2024 N'000
7. Revenue		
AIT	4,131,646	4,600,346
AIT News 24	363,747	261,256
Raypower	432,547	389,345
Faaji	124,738	-
Dvsl	<u>380,651</u>	<u>-</u>
	<u>5,433,309</u>	<u>5,250,947</u>

The Company earns a major part of its revenue from providing media services.

7.1 Segment information

7.2 Products and services from which reportable segments derive their revenues

An operating segment is a component of an entity that engages in business activities from which it may earn revenues and incur expenses whose operating results are regularly reviewed by the entity's chief operating decision-maker to make decisions about resources to be allocated and assess its performance for which discrete financial information is available.

DAAR's business structure is divided among the following segments:

- i). Raypower FM
- ii). AIT / Television
- iii). DAAR News

Each of these businesses is managed separately by its designated Managing Director and the team, with a different set of accounts prepared for each of these. However, Property, Plant & Equipment (PP&E) for each of the segments are not separately identifiable.

The 'AIT / Television' is the predominant segment of DAAR, as the same contributes about 90% of the total revenue.

The 'Raypower FM' contributes about 10% of the revenue. No information is available on PP&E separately for segments.

The Company also has operations in the United Kingdom and Sierra Leone (closed down in 2013), while having bureau offices in the United States of America and Ghana. However, operations, except Sierra Leone, are managed under the AIT /Television segment. Based on previous years' information, the management believes UK operations to be very insignificant. US and Ghana operations serve as news collection agencies and hence, are not significant considering DAAR's size of operations.

7.3 Segment Revenue and Result

The following is an analysis of the Company's revenue and results by reportable segment for the year ended 31 December 2025:

	Segment Revenue N'000	Cost of Sales N'000	Gross Profit N'000
AIT	4,131,646	(1,637,002)	2,494,644
AIT News 24	363,747	(671,743)	(307,996)
Ray power	432,547	(480,049)	(47,502)
Faaji	124,738	(62,652)	62,086
 DSVI	 <u>380,631</u>	 <u>(525,465)</u>	 <u>(144,834)</u>
	 <u>5,433,309</u>	 <u>(3,376,911)</u>	 2,056,3988
 Selling and administration cost			 (3,264,249)
Other income			455,852
Operating loss before interest			(699,165)
Finance cost			(52833)
Loss before tax			(751,998)
Provision for tax			<u>(122,659)</u>
Loss for the year			<u>(874,657)</u>

7.4 Segment Revenue and Result

The following is an analysis of the Company's revenue and results by reportable segment for the year ended 31 December 2024:

	Segment Revenue N'000	Cost of Sales N'000	Cost of Profit N'000
Television	4,600,346	2,723,417	1,876,929
DNS Service	261,256	581,910	(320,654)
Radio	<u>389,345</u>	<u>466,788</u>	<u>(77,443)</u>
	<u>5,250,947</u>	<u>3,772,115</u>	1,478,832
Selling and administration cost			(4,335,440)
Other income			555,431
Operating loss before interest			(2,301,177)
Finance cost			(12,743)
Loss before tax			(2,313,920)
Provision for tax			<u>-</u>
Loss for the year			<u>(2,313,920)</u>

The segment revenue reported above represents revenue generated from external customers. There were no inter-segment sales in the current year.

The accounting policies of the reportable segments are the same as the Company's accounting policies. Segment profit represents the profit earned by each segment without allocation of central administration costs, investment revenue, other gains and losses, finance costs, and income tax expense. The business segments are determined by management based on the Company's internal reporting structure.

7.5 Segment Assets and Liabilities

The Managing Director does not make use of information on segment assets and segment liabilities for resource allocation and assessment of segment performance.

7.6 Revenues from Major Products and Services

The Company's revenues from its major services for the year ended 31 December, 2025 were as follows:

	AIT	DVSL	RAYPO WER	AITNEW S24	FAAJI	Total
	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000
Agency sales	1,506,752	10,883	241,698	-	20,450	1,779,814
Personal paid advert	24,337	-	95,762	2,121	104,041	177,587
Outside broadcast	1,580,251	369,189	-	72,326		2,021,766
In house program	20,138	558	29,996	19,640		70,331
Program appearance	279	-	952	-		1,231
Independent programme JV	33,930	-	2,559	-	218	36,707
Independent programme sponsored	695,876	-	39,974	-		735,850
Documentary	140,761	-	74	17,674		158,510
Dedicated Media coverage	151,678	-	15,070	131,394		298,143
Event news coverage	21,651	-	1,803	115,392		138,847
Scroll message	558	-	-	5,200		5,758
Decoder sales	-	-	72	-	-	72
Special Programme	37		-			
				-	-	-
Rental	4,070	-	-			
Special Project	-	-	4,586	-	-	4,586
Total	4,131,646	380,631	432,547	363,747	124,738	5,433,309
	=====	=====	=====	=====	=====	=====

	2025 N'000	2024 N'000
7. Geographical	5,433,309	5,250,947
8. Direct cost		
Depreciation	966,575	820,978
Salary and wages	591,186	724,465
Diesel and oil	836,551	768,525
Programme cost	167,164	80,498
Satellite expenses	96,254	209,009
Equipment repairs	113,587	140,483
License fees	100,000	100,000
NBC annual operating levy	80,346	84,933
New services	32,913	91,178
Internet access	80,065	42,542
Website cost	17,263	37,874
Plant repairs & hire	24,998	53,615
Amortisation	37,943	819
BON expenses	1,000	1,000
Events and production	19,280	501,770
Online streaming	72,648	-
Outside broadcast costs	104,145	114,426
	3,376,911	3,772,115

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	Television	Radio	DNS Services	Total
	₦'000	₦'000	₦'000	₦'000
Sales – agency sales	1,309,204	181,391	-	1,490,595
Sales – personal paid advert	80,322	110,005	540	190,867
Sales – outside broadcast	2,134,029	35,774	107,240	2,277,043
Sales – in house program	39,398	31,728,	6,977	78,103
Sales – program appearance	15,484	2,451	1,116	19,051
Sales – independent programme joint venture	53,322	11,402	-	64,724
Sales – independent programme sponsored	490,752	11,367	-	502,119
Sales – documentary	152,723	-	-	152,723
Sales – dedicated Media coverage	206,504	93	132,280	338,877
Sales – event news coverage	97,048	1,581	7,968	106,597
Sales – scroll message	1,302	-	5135	6,437
Sales – special	14,713	3,838	-	18,551
Sales -rental	4,884	-	-	4,884
Sales – Int'l	672	-	-	672
Total	4,600,357	389,630	261,256	5,251,243
Less sales refund	(11)	(285)	-	(296)
Total	4,600,346	389,345	261,256	5,250,947

	2025	2024
9. Other income	₦'000	₦'000
Other incomes	267,587	7,568
Profit on disposal of assets	-	-
Provision no longer required	30,692	547,863
Foreign Exchange gain	<u>157,573</u>	<u>-</u>
	<u>455,852</u>	<u>555,431</u>
10. Selling/distribution expenses		
Sales commission	<u>176,594</u>	<u>146,455</u>
10b. Impairment allowance		
Specific bad debt written off	160,981	140,221
Allowance for impairment of receivables	395,244	241,017
Allowance for impairment of deferred tax assets*	<u>-</u>	<u>969,241</u>
	<u>556,225</u>	<u>1,350,479</u>
*No allowance was made on the impairment of deferred tax assets in 2025 as the Deferred tax asset is now fully written off in line with the requirement of IAS 12 on Income Taxes.		
10c. Provision		
Provision for gratuity	<u>37,500</u>	<u>72,000</u>
11. Administrative expenses		
Other admin expenses (note 11.1)	1,934,264	1,762,676
Salaries	429,479	598,518
Exchange loss	68,108	384,135
Bank charges	<u>9,245</u>	<u>21,177</u>
	<u>2,441,097</u>	<u>2,766,506</u>

11.1	Other admin expenses	₦'000	₦'000
	Transport & travelling	186,104	142,626
	Fuel/motor running expenses	157,363	140,150
	Staff welfare	110,597	194,440
	Death benefit	11,282	15,366
	Vehicle repairs	67,669	73,800
	Board expenses	118,700	96,897
	Rent and service charge	26,021	42,110
	Consultancy	249,292	116,239
	Printing & stationaries	49,016	40,012
	Regulatory fee	24,870	22,647
	Office maintenance	62,565	59,025
	Legal fee	20,250	31,475
	Security expenses	32,321	35,648
	Building repairs	60,492	29,459
	Staff training & development	11,987	18,540
	NHIS	18,115	26,180
	Medical	21,797	26,778
	Office entertainment	25,029	24,967
	AGM expenses	6,185	34,798
	Audit fee	18,000	18,000
	Insurance	29,553	963
	Telephone	12,717	12,606
	Public relation expenses	5,135	34,257
	Industrial Training Fund	6,673	9,049
	NSITF	5,673	8,150
	Dues and subscription	20,197	14,825
	Postages	3,095	5,763
	Fines and penalty	730	1,700
	Furniture repairs	21,350	2,419
	Advert and publicity	3,370	5,266
	Discount allowed	126,088	83,104
	Newspapers and periodicals	587	12,730
	Plant and vehicle hire	0	810
	Depreciation	<u>422,441</u>	<u>381,877</u>
		<u>1,934,264</u>	<u>1,762,676</u>
12.	Finance cost		
	Subordinated loan interest	-	10,370
	Bank loan Interest	<u>52,833</u>	<u>-</u>

	2025 ₦'000	2024 ₦'000
13. Profit before taxation		
The profit before taxation is stated after charging/ crediting		
Depreciation	1,389,015	1,202,855
Amortisation	37,500	819
Provision for gratuity	372,000	72,000
Audit fee	18,000	18,000
Impairment allowance on receivable and bad debts	556,225	381,238
Impairment allowance on deferred tax assets	-	969,241
	=====	=====

Apart from the audit service, the external auditors of DAAR Communications Plc, Baker Tilly Nigeria also provided financial reporting over internal control service for ₦2,500,000 fee. Other than that, we did not provide any other professional service to the company.

	2025 ₦'000	2024 ₦'000
14. Taxation		
14.1 Per profit or loss account		
Company income tax	113,224	26,255
Education tax	9435	1,540
Current tax expense	122,659	27,795
Deferred tax	-	-
Net income tax expense as per profit or loss	122,659	27,795
	=====	=====
14.2 Per statement of financial position		
Balance brought forward	748,425	720,630
Tax provision for the year	122,659	27,795
Adjustment of income tax prior periods	(614,190)	-
Tax payment during the year	10,000	-
	246,894	748,425
	=====	=====
14.3 Deferred tax assets		
As at January 1		969,241
Reversal of temporary difference		(969,241)
Balance as at 31 December	-	-
	=====	=====

No provision was made on the deferred tax assets in 2025 as the deferred tax asset is fully written off in line with the requirement of IAS 12 Income Taxes.

14.4 Effective tax		
Income tax relating to continuing operations:		
Education tax payable	9,435	1,540
Company income tax payable	113,224	26,255
Deferred tax expenses recognized in the period	-	-
Total income tax expenses relating to the current	122,659	27,795
	=====	=====

	2025 ₦'000	2024 ₦'000
Tax expense computation reconciliation		
Loss for the year before tax	(751,998)	(2,313,920)
Tax charge	<u>(122,659)</u>	<u>(27,795)</u>
Loss after tax	<u>(874,657)</u>	<u>(2,341,715)</u>
Expected income tax expense calculated at 30% (2025)	(225,149)	(694,176)
Education tax expense at 2.5% (2020:2%) of	9,435	1,540
Adjusted for:		
Expenses not deductible for tax purposes (at 30%)	565,305	749,603
Tax incentive recognized (at 30%)	(226,771)	(29,172)
Deferred tax	-	-
Additional tax paid due to under-provision/minimum tax	<u>-</u>	<u>-</u>
Income tax expenses for the year	<u>122,659</u>	<u>27,795</u>
Effective tax rate	<u>3%</u>	<u>1%</u>

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15. Property, plant and equipment	Land & Building N'000	Plant & Equipment N'000	Furniture & fittings N'000	Records Disc N'000	Motor & vehicle N'000	work in Progress N'000	Capital Total N'000
Cost							
As at 01/01/2024	20,802,300	3,023,000	895,700	-	156,500	-	24,877,500
Disposal	-	-	-	-	-	-	-
Current year addition	214,574	423,619	14,434		10,000		662,627
Revaluation	-	684,566	22,107	-	-	-	706,673
As at 31/12/2024	<u>21,016,874</u>	<u>4,131,185</u>	<u>932,241</u>	<u>-</u>	<u>166,500</u>	<u>-</u>	<u>26,246,800</u>
Depreciation							
As at 01/01/2024	85,286	690,653	13,510	-	26,123	-	815,572
Disposal	-	-	-	-	-	-	-
Charge for current year	146,411	820,978	181,299	-	54,167	-	1,202,855
Revaluation	-	-	-	-	-	-	-
As at 31/12/2024	<u>231,697</u>	<u>1,511,631</u>	<u>194,809</u>	<u>-</u>	<u>80,290</u>	<u>-</u>	<u>2,018,427</u>
Carrying amount							
As at 31/12/2024	<u>20,785,177</u>	<u>2,619,554</u>	<u>737,431</u>	<u>-</u>	<u>86,210</u>	<u>-</u>	<u>24,228,373</u>
As at 01/01/2025	21,016,874	4,131,185	932,241	-	166,500	-	26,246,799
Disposal	-	-	-	-	-	-	-
Current year addition	<u>41,319</u>	<u>823,744</u>	<u>11,201</u>	-	<u>4,824</u>	-	<u>881,088</u>
As at 31/12/2025	<u>21,058,193</u>	<u>4,954,929</u>	<u>943,443</u>	<u>-</u>	<u>171,324</u>	<u>-</u>	<u>27,127,887</u>
Depreciation							
As at 01/01/2025	231,967	1,511,631	194,809	-	80,289	-	2,018,426
Disposal	-	-	-	-	-	-	-
Charge for current year	<u>164,084</u>	<u>966,575</u>	<u>199,344</u>	-	<u>59,012</u>	-	<u>1,389,015</u>
As at 31/12/2025	<u>395,781</u>	<u>2,478,205</u>	<u>394,154</u>	<u>-</u>	<u>139,301</u>	<u>-</u>	<u>3,407,442</u>
Carrying amount as at 31/12/2025	<u>20,662,412</u>	<u>2,473,723</u>	<u>549,288</u>	<u>-</u>	<u>32,022</u>	<u>-</u>	<u>23,720,445</u>

15.1 Impairment Test

Asset impairment refers to a sudden decline in the usability of non-current assets. The impairment could be triggered by such issues as asset damage, obsolescence, or legal restrictions on asset use.

The regulations for the conduct of impairment tests are summarized by the International Accounting Standards Board especially in International Accounting Standard (IAS) 36 Impairment of Assets. Impairment testing is carried out to bring the carrying value of an entity in line with its recoverable value; this is the higher of the fair value less cost to sell and the value in use.

Indicators of possible impairment include an increase in the cost of borrowing and the carrying amount of the net assets of an entity exceeding its market capitalization. Significant adverse changes in the business climate may also be an indicator of impairment.

Significant judgment is required by management in determining the impairment PPE, which constitutes a material portion of the Company's assets. The result showed that the PPEs were not impaired. However, the Company analyzed and reviewed the non-current assets for the year 2025 for impairment and found no indicator for impairment of non-current assets. With this observation, the Company believes that the level of impairment charge as applied in 2023 is adequate as at December 31, 2025, and does not see any need for a further charge for the year 2025.

15.2 Land and Buildings

Management has elected to adopt the cost/revaluation model as its accounting policy. Land and Buildings are carried at cost/revaluation less any accumulated depreciation and any accumulated impairment loss.

15.3 Plant and Equipment

The cost/revaluation model was used in recognition of Plant and Machinery in line with the requirements of the International Financial Reporting Standards (IFRS).

15.4 Furniture and Fittings/Motor Vehicles

The cost/revaluation model was used in recognition of Furniture and Fittings/Motor Vehicles in line with the requirements of the International Financial Reporting Standards (IFRS).

15.5 Lien on Property Plant and Equipment

The Subordinated loan was secured against all existing assets of the company as at September 30, 2008, and future assets of the company.

	2025 ₦'000	2024 ₦'000
16. Intangible assets		
TV & radio license and accounting Software		
At 1 January	2,147,210	2,131,250
Addition		15,960
Disposals	-	-
As at 31 December	2,147,210	2,147,210
Accumulated amortisation	2,109,267	2,108,448
Amortisation charge for the year	37,943	819
Total accumulated	2,147,210	2,109,267
Carrying amount 31 December,	-	37,943

Amortization of intangible assets with finite useful lives is calculated to write off the cost of the asset, less its estimated residual value, over its useful life; in 2025, the company was acquiring a new software and wrote off the balance of the old one.

17. Investment at FVTPL		
Investment in MTS	97,000	97,000

National Broadcasting Commission recently flagged off the digitization regime which will usher in a Digital Terrestrial Television (DTT) in Nigeria consequent upon a global transition from the analogue transmission of television signals to a digital mode of transmission. This migration will change the structure of television broadcasting fundamentally with the separation of content carriers from signal distributors/carriers. This means that two categories of players will now be recognized in the television industry viz.

content providers and signal distributors. The legal regime is that companies who were licensed to distribute contents will not be allowed to distribute signals.

Pursuant to a new policy, all television stations in Nigeria, whether private or state-owned shall lose rights to operate their masts, transmitters, and any other transmission equipment and services, except by a licence from the NBC. The NBC in actualizing this mandate called for bids from interested parties to operate the DTT.

The Nigerian Television Authority (NTA) was given an automatic license while other operators were directed to go and apply, individually or in partnership for a Network, license to operate DDT. Considering the enormity of issues at stake, the stakeholders under the auspices of the Independent Broadcasters Association of Nigeria (IBAN) and Broadcasting Organisation of Nigeria (BON), agreed to jointly apply for a licence under the name-MTS Communications Limited (Media Transmission Service).

Based on the decision, MTS Communications Limited was duly registered.

The NBC policy is to license any two signal distribution carriers and an unlimited number of content distributors. To this end, the NTA had an automatic award of a license while MTS Communications Limited went through a bid process that was eventually approved. All stakeholders as a matter of urgency must contribute their equity in terms of equipment and financial contribution as a working and operational capital for the newly created company. All owners of broadcasting infrastructures who do not join MTS or are unable to produce a signal distribution license to operate the same shall be required to sell them outright to NBC or forfeit them, as it will amount to a crime to own any broadcasting equipment without a license to operate same.

The balance represents the initial investment of DAAR Communications Plc in MTS Communications Limited.

As at 31 December 2025, the status of this investment was not known. We are not able to ascertain if this policy has been scrapped or not.

	2025	2024
	₦'000	₦'000
18. Trade receivable		
Account receivables	5,712,190	4,955,930
Specific receivable written off	-	(140,220)
	5,712,190	4,815,710

Less: allowance for doubtful debts (note 18.1)	3,057,242	((2,208,428)
	<u>2,654,948</u>	<u>2,607,282</u>
18.1 Movement in provision for doubtful receivables		
As at 1 January	2,208,428	1,967,412
Movement during the year	848,813	-
Expected credit losses written off bad debts		
Additional provision during the year	-	<u>242,016</u>
	<u>3,057,242</u>	<u>2,208,428</u>

The Directors consider that the carrying amount of trade and other receivables is approximately equal to their fair value.

19. Other receivables and prepayment		
Staff loans and advances	81,513	4,310
Prepayments	43,781	70,562
DAAR Global Music	91,003	91,003
Others	<u>134,752</u>	<u>153,094</u>
	<u>351,049</u>	<u>318,969</u>

20. Cash and cash equivalents
- For the purpose of statement of cash flows, cash and cash equivalents include cash on hand and in banks, net of outstanding bank overdrafts. Cash and cash equivalent at the end of the reporting period as shown in the statement of cash flows can be reconciled to the related items in the statement of financial positions as follows:

	2025 N'000	2024 N'000
20.1 Cash and bank balances		
Cash in hand	8,183	2,707
Bank balances	<u>300,308</u>	<u>200,289</u>
-	<u>308,491</u>	<u>202,996</u>

	2025 ₦'000	2024 ₦'000
21. Share capital		
Issued and fully paid		
8,000,000,000 ordinary shares of ₦0.50 each	4,000,000	4,000,000
	<u>=====</u>	<u>=====</u>
22. Share Premium	13,411,541	13,411,541
	<u>=====</u>	<u>=====</u>
The share premium was derived following the series of movement in share capital from 2007 to 2008. Since then, there has not been any issue and allotment of new shares by the company. The movement in share capital and premium can be summarized as follows:		
At 1 January	13,411,541	7,727,784
Additions based on new share issues	<u>-</u>	<u>8,232,651</u>
	13,411,541	15,960,435
Share issue expenses	<u>-</u>	<u>(2,548,894)</u>
At 31 December	13,411,541	13,411,541
	<u>=====</u>	<u>=====</u>
23. Retained earnings		
As at 1 January	(17,670,944)	(16,825,758)
Loss for the year	<u>(874,657)</u>	<u>(2,341,715)</u>
	(18,545,601)	(19,167,473)
	<u>=====</u>	<u>=====</u>

23.1 Restatement of Retained earnings

Federal Inland Revenue Service (FIRS) carried out a tax audit during the year and for the period 2019 to 2022. After the audit, it was discovered that Daar communications plc had over provided for company income tax, withholding tax and value added tax for the affected years.

This resulted in a restatement of the Retained earnings as follows:

23.1 Restated Retained earnings	<u>2024 Restated</u>	<u>2024 Audited</u>
Balance as at 1 January	(19,167,473)	(19,167,473)
VAT provision no longer required	835,485	-
CIT provision no longer required	<u>661,044</u>	<u>-</u>
Total	(17,670,944)	19,167,473
	<u>=====</u>	<u>=====</u>

		2025 ₦'000	2024 ₦'000
24. Subordinated Loan			3,664,010
Balance as at January 2025	144,666		362,029
Additions during the year	-		209,807
Repayment during the year	<u>144,666</u>		<u>427,170</u>
Balance as at 31 December	=		<u>144,666</u>
25. Payable			
Suppliers' account		794,558	1,151,541
Trade payable comprises the amount outstanding in Suppliers' accounts for trade purchases. For supplies, no interest is charged on the trade payables. The directors consider that the carrying amount of trade payables approximates their fair value.			
26. Other payables			
Accrued salary		717,832	1,119,059
PAYE		715,819	674,294
Pension Fund		1,994,006	1,917,169
Exited staff terminal benefit		1,536,873	1,116,456
NHF		50,367	61,496
NHIS		289,599	354,559
ITF accrued		119,043	113,370
NSITF accrued		111,635	107,407

Audit fee	18,430	18,000
VAT payable	674,986	1,125,190
Cooperative Society	14,636	14,636
Withholding tax payable	119,842	135,324
NBC charges*	493,652	498,238
Director's fee	78,099	52,280
DAAR Investment Holding Limited**	210,819	198,030
Accrued staff rent	310	(2,576)
Accrued expenses	232,421	-
Union dues	17,700	16,487
Director's Loan account	-	222,410
Deferred receipts & other commitments***	<u>530,523</u>	<u>796,396</u>
	<u>7,926,593</u>	<u>8,538,225</u>

*NBC Charges: Section 14 paragraph 2(a) of the Nigerian Broadcasting Commission (NBC) Act empowers the Commission to impose a levy on the annual income of licensed broadcasting stations.

Consequently, NBC imposed a levy of 2.5% of the revenue of broadcasting stations as an operating levy. However, with effect from January 1, 2012, the levy was reduced from 2.5 percent to 1.5 percent. The balance on the account represents a provision for the levy.

**DAAR Investments Holding: This represents accrued interest on Subordinated Loan. The balance as of December 2025 represents accrued interest less payments made to DAAR Investments.

***Deferred Receipts and Other Commitments represent those services already provided by the company for which payment had been received from customers not yet identified as well as amounts received in advance from clients for services and obligations yet to be discharged by the company as of December 31, 2025.

	2025 N'000	2024 N'000
26b. Staff gratuity		
Balance as at 1 January	726,160	865,375
Payment to staff during the year	(189,166)	(211,215)
Addition during the year	<u>37,500</u>	<u>72,000</u>
Balance as at 31 December,	<u>574,494</u>	<u>726,160</u>
27. Earnings Per Share		
The earnings and weighted average number of ordinary shares used in the calculation of Basic earnings per share are presented below.		
Net loss for the year attributable to equity shareholders	<u>(874,657)</u>	<u>(2,341,715)</u>
Number of ordinary shares outstanding during the period	<u>8,000,000</u>	<u>8,000,000</u>
Basic earnings per share (kobo)	<u>(11)</u>	<u>(29)</u>
28. Related Party Transaction		
The Company carried out transactions with the parent company DAAR Investments Limited. DAAR Investments provided the Company with a loan at a rate that is below the market rate (See note 24). The balance on DAAR Investments' current account with DAAR Communications was shown in note 26.		
28.1 Balance due to related party		
Subordinated loan		
Subordinated loan	3,664,010	3,664,010
Balance as at 1 January, 2025	144,666	362,029
Addition during the year	-	209,807

Liquidation/repayment	(144,666)	(427,170)
Balance AS AT 31 DECEMBER, 2025	-	144,666
	=====	=====

28.2 Remuneration of Key Management Personnel

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any director (whether executive or otherwise) of that entity (IAS 24.9). The remuneration of the Directors who are the key Management personnel of the Company is set below in the aggregate for each of the categories specified in IAS 24, Related Party Disclosures. Further information about the remuneration of individual directors is also provided.

	2025 N'000	2024 N'000
28.3 Remuneration of key management personnel		
Director emolument	7,000	
Chairman's fee	25,000	4,500
Non-executive directors fee	<u>26,890</u>	<u>24,500</u>
Executive directors' emoluments	<u>58,692</u>	<u>55,719</u>
	=====	=====
	=====	=====

28.4 The number of Directors excluding the Chairman whose emoluments were within the following ranges:

N	2025 Number	2024 Number
Less than 1,000,000		-
1,000,001 – 5,000,000	1	7
5,000,001 – 10,000,000	4	1
10,000,001 – 20,000,000	2	5

	Above 20,00,001	- 7 ==	- 13 ==
29.	Employees Costs		
29.1	The related staff costs including Directors' emoluments are as follows:		
		2025 ₹'000	2024 ₹'000
	Staff salaries and allowances	969,751	1,191,237
	Directors' emoluments (note 28.3)	58,692	84,719
	Other staff costs (Medical, welfare, training & development)	<u>144,382</u>	<u>212,980</u>
		<u>1,172,825</u> =====	<u>1,488,936</u> =====
29.2.	The Number of employees excluding Directors with gross emoluments within the bands stated below are:		
		2025 Number	2024 Number
	₹ 200,000 – 400,000	-	-
	400,001 – 600,000	15	-
	600,001 – 800,000	38	63
	800,001 – 1,000,000	69	26
	1,000,001 – above	<u>248</u>	<u>522</u>
		<u>370</u> ==	<u>611</u> ==
29.3	Number of persons employed at the end of the were:		
	Managerial	14	28
	Senior	67	100
	Junior	<u>291</u>	<u>483</u>
		<u>372</u>	<u>611</u>

30. Notes to the statement of cash flow

The Cash Flow Statement has been drawn up using the indirect method. Working capital comprises inventories, receivables, and current liabilities. Cash flows from investing activities relate to the net amount of investments and disposals. The cash flows from financing activities relate to the net amount of payments made for financing business activities in the year and changes in short-term borrowings. The net cash position consists of cash in hand, cash at the bank, and overdraft.

31. Contingent liability

Some service providers and individuals lodged claims separately against DAAR Communications Plc for breach of contractual agreements in the ordinary course of business. The suites were in various stages of litigation.

The total amount of claims against the Company is estimated at ₦3.2 billion (December 31, 2023: ₦7.2 billion). These actions are being contested and the Directors are of the opinion that none of the aforementioned cases is likely to have a material adverse effect on the Company and are not aware of any other pending or threatened claims and litigations.

No provision has been made in these financial statements for these contingent liabilities in respect of litigations against the Company.

32. **Capital risk management**

The company manages its capital by ensuring an adequate mix of debt and equity resulting in the maximum return on capital and going concern of the business. This is reviewed periodically to accommodate changes in the economic forces, the operations of the company.

The capital structure of the company is made up of net debt (borrowings net of cash and bank balances) and equity (issued shares and retained earnings) as detailed below:

	2025	2024
	N'000	N'000
Net debt	475,485	(58,330)
Equity	16,764,137	16,211,340

33.1. Debt to Equity Ratio

The company's debt to equity ratio is reported below;

Subordinated Loan (note 24)	-	144,666
Total Debt	827,337	144,666

	2025	2023
	₦000	₦000
Cash and Cash Equivalents (note 20)		
Net Debt	(432,124)	(58,330)
Equity	16,805,418	16,211,340
Net Debt to Equity	3%	(0.36) %

33.2 Financial Instruments

As at 31 December 2025

Loans and Receivables

Total Carrying amount

Financial Assets

Cash and Cash Equivalents	308,491	202,996
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Trade and Other Receivables **	3,005,998	2,926,251
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Total Financial Assets	3,3154,489	3,129,247
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Financial Liabilities	Amortised cost	Total carrying amount
	₦000	₦000
Borrowings (Subordinated Loan)	0	144,666

Trade and Other Payables **	8,721,151	5,838,032
Total Financial Liabilities	<u>8,721,151</u>	<u>5,982,698</u>

**Other Receivables and Payables exclude non-contractual assets and liabilities

33.3 Fair Valuation of Financial Instruments

The carrying amounts of Cash and Cash Equivalents, Trade and other Receivables, Trade and other Payables approximate their fair values. Their carrying amounts are valued at amortized cost.

34. Financial Risk Management

The company has a risk management structure that identifies and manages the impact of its risk exposure. The financial risks faced by the company are credit risk, liquidity risk, and market risk (interest rate risk and foreign currency risk).

34.1 Credit Risk

Credit risk is the risk of financial loss to the company if a customer or counterparty to a financial instrument fails to meet its contractual obligations. This arises primarily from the company's receivables from clients and other related parties. However, the company manages its credit risks by ensuring that a large percentage of its sales are on a cash basis, and when credit sales transactions are carried out, the company ensures that only customers with a good and clean credit record are transacted with. The company's carrying amount of financial assets represents the maximum credit exposure at the reporting date.

	2025	2024
	₦'000	₦'000
34.1.1 Maximum Exposure to Credit Risk		
Cash and Cash Equivalents	308,491	202,996
Trade and Other Receivables	<u>3,005,998</u>	<u>2,926,251</u>
	<u>3,129,247</u>	<u>3,129,247</u>

Liquidity risk is the risk that the Company will encounter difficulty in meeting the obligations associated with its financial liabilities. However, the Company manages its liquidity risks by ensuring that liabilities are within the scope of the Company's projected

cash outflows, by maintaining adequate banking and borrowing facilities.

34.1.2 Liquidity Maturity Table

The contractual maturities of financial liabilities, including estimated interest payments are as follows:

	< 1 year	1 - 3years	3 - 5years
	<1 year	1 - 3years	3 - 5years
	N000	N000	N000
As at 31 December 2025			
Bank Loans	783,976	527,675	-
Borrowings (Subordinated Loan)	-	-	-
Trade and Other Payables	<u>8,721,151</u>	-	-
	<u>9,055,127</u>	-	-
	=====	=====	=====
As at 31 December 2024			
Borrowings (Subordinated Loan)	144,666	-	-
Trade and Other Payables	<u>5,838,032</u>	-	-
	<u>5,982,698</u>	-	-
	=====	=====	=====

34.3 Market Risk

Market risk is the risk that changes in market prices (foreign exchange rates, interest rates, and equity prices) will result in a fluctuation in the value of financial instruments in terms of fair value or future cash flows. The objective of market risk management is to manage and control market risk exposures within acceptable parameters while optimizing the return. The company manages its market risks (foreign exchange rates and interest rates risks) by frequent monitoring of the market developments, thereby controlling costs exposed to the market risk.

34.4 Currency Risk

Since the Company operates internationally (United Kingdom), the business is exposed to foreign currency fluctuations risk. The company undertakes transactions that are denominated in foreign currencies particularly, the pound sterling. In respect of its monetary assets which are denominated in foreign currencies, the company mitigates the exposure risks by buying or selling foreign currencies at spot rates when necessary.

34.5 Interest Rate Risk

The company's exposure to interest rate risk covers its fixed-rate financial liabilities (Bank Loan and Subordinated Loan), as well as interest rate risk from Bank Overdrafts.

The carrying amount reflects the fair values of the instruments and the company's exposure to interest rate risk as at the reporting date.

	2025 ₦'000	2024 ₦'000
Financial Liabilities		
Borrowings (Subordinated Loan)	-	144,666
Bank loans and interest	783,976	-
-	=====	=====

34. **Going Concern**

The financial state of the Company as of December 31, 2025, raises the issue of the ability of the company to continue in business in the nearest future. Some of the going concern indicators are as follow:

The company incurred a loss of ₦875 million in 2025 (2024: ₦2.34 billion million).

As at 31 December 2025, the company's current liabilities exceeded its current assets by ₦6 billion.

Accrued staff salary and exited staff Terminal benefits as at 31 December 2025 was ₦2.252 billion.

Accrued Statutory Charges; Pension, PAYE, VAT, etc. as at 31 December 2025 was over ₦4.86 billion.

35. Capital Commitments

There are no material commitments for capital expenditure not provided for in these financial statements.

36. Events after Reporting Date

No events or transactions have occurred since the balance sheet date, which would have a material effect upon the financial statements at that date or which need to be mentioned in the financial statements in order not to make them misleading as to the financial position or result of operations at the balance sheet date.

37. Comparative figures for Retained Earnings and taxation have been restated.

38. Approval of Financial Statements

The Financial Statements were approved by the Board of Directors on 30 March 2026

OTHER NATIONAL DISCLOSURES

DAAR COMMUNICATIONS PLC

STATEMENT OF VALUE ADDED

	2025		2024	
	₦'000	%	₦'000	%
Turnover	5,433,309		5,250,947	
Other Income	<u>455,852</u>		<u>555,431</u>	
	5,889,161		5,806,378	
Bought in materials and services:				
Local	5,361,145		(5,102,560)	
Foreign	<u>146,430</u>		<u>(338,061)</u>	
Value added	<u>381,585</u>	100	<u>365,757</u>	100
Distributed as follows:				
Employees				
Salaries, Pension and Welfare	1,042,808	273	1,463,260	400
Provider of Capital				
Finance Cost	52,833	14	12,743	3
To Government				
Taxation	122,659	32	27,795	8
Provided for Asset Replacement				
Depreciation of Property Plant			1,202,855	329
and Equipment	37,943	10%		
Amortization, Impairments and Provisions			819	-
Loss for the year	<u>(874,657)</u>		<u>(2,341,715)</u>	<u>(640)</u>
		<u>(229)</u>		
Value added	<u>381,585</u>	100	<u>365,757</u>	100

DAAR COMMUNICATIONS PLC
FIVE YEAR FINANCIAL SUMMARY

	2025	2024	2023	2022	2021
	₦'000	₦'000	₦'000	₦'000	₦'000
Assets Employed					
Property, plant & equipment	23,720,445	24,228,373	24,061,928	7,350,313	7,898,412
Intangible Assets	0.00	37,943	22,802	24,566	26,793
Investment	97,000	97,000	497,893	97,000	171,295
Deferred tax asset	-	-	969,241	1,882,664	2,796,087
Net Liabilities	<u>(7,012,227)</u>	<u>(8,179,771)</u>	<u>(7,733,275)</u>	<u>(7,141,238)</u>	<u>(7,911,216)</u>
Net Assets	<u>16,805,418</u>	<u>16,183,547</u>	<u>17,818,589</u>	<u>2,213,306</u>	<u>2,981,371</u>
Funds Employed					
Share Capital	4,000,000	4,000,000	4,000,000	4,000,000	4,000,000
Share Premium	13,411,541	13,411,541	13,411,541	13,411,541	13,411,541
Revaluation surplus	17,939,479	17,939,479	17,232,806	-	-
General Reserve	<u>(18,545,601)</u>	<u>(19,167,473)</u>	<u>(16,825,758)</u>	<u>(15,198,235)</u>	<u>(14,430,170)</u>
Shareholders' Fund	<u>16,805,418</u>	<u>16,183,547</u>	<u>17,818,789</u>	<u>2,213,306</u>	<u>2,981,371</u>
Turnover	<u>5,433,309</u>	<u>5,250,947</u>	<u>4,510,339</u>	<u>4,787,259</u>	<u>4,806,011</u>
Loss before tax	(751,998)	(2,313,920)	(1,578,275)	(755,824)	(641,942)
Tax provision	(122,659)	(27,795)	(49,248)	(12,241)	(91,521)
Loss after tax	<u>(874,657)</u>	<u>(2,341,715)</u>	<u>(1,627,523)</u>	<u>(768,065)</u>	<u>(733,463)</u>
Loss Per Share (Kobo)	<u>(11)</u>	<u>(29)</u>	<u>(20)</u>	<u>(10)</u>	<u>(9)</u>